

# acko

## Motor Insurance Policy

Private Car & Two-Wheeler — India  
Comprehensive Terms, Conditions, Add-ons & Claims Reference Guide

- Own Damage
- Third Party
- Add-ons
- NCB
- EV Cover
- Claims

|                  |                                                               |
|------------------|---------------------------------------------------------------|
| Document Type    | Motor Insurance Policy — Terms & Conditions                   |
| Vehicles Covered | Private Cars, Two-Wheelers, Electric Vehicles — All India     |
| Legal Basis      | Motor Vehicles Act, 1988   IRDAI Motor Regulations 2019       |
| Policy Variants  | Third Party Only   Stand-Alone OD   Comprehensive             |
| Total Chapters   | 20 Chapters   50+ Pages                                       |
| Content Status   | AI-Generated   Educational & RAG Project Use Only             |
| Language         | English   Jurisdiction: Republic of India                     |
| Regulator        | IRDAI — Insurance Regulatory & Development Authority of India |

**NOTICE:** This document is AI-generated for educational purposes and RAG model training only. It is based on publicly available IRDAI motor insurance regulations and Acko's published product terms. It does not constitute a real insurance policy or legal contract.

## CHAPTER 1 — INTRODUCTION TO ACKO MOTOR INSURANCE

### 1.1 About Acko General Insurance

Acko General Insurance Limited is India's first fully digital, direct-to-customer general insurer, founded in 2016 by Varun Dua. Operating without physical branches, agents, or brokers, Acko leverages technology, data science, and AI to offer transparent, affordable, and paperless motor and health insurance products. As of 2024–25, Acko serves over 8 crore customers across India and has issued more than 100 crore policies — making it one of India's fastest-growing general insurers.

- **100% Digital:** Purchase, renewal, endorsements, and claims processed entirely online via the Acko app or website — no physical documents required at any stage.
- **Zero Commission:** No insurance agents or brokers — savings of 15–25% in commission costs are passed directly to customers in the form of lower premiums.
- **AI-Powered Claims:** Minor motor damage claims are assessed using computer vision and AI photo analysis. Eligible claims can be approved within 60 minutes of photo upload.
- **Doorstep Service:** Acko arranges free vehicle pickup and delivery for repairs at network garages in eligible metro cities.
- **Instant Policy:** Digital policy certificate issued within seconds of premium payment. No waiting for physical documents.
- **Transparent Pricing:** Full premium breakup — OD, TP, add-ons, GST — displayed before purchase. No hidden charges.

### 1.2 Motor Insurance Mandate in India

Section 146 of the Motor Vehicles Act, 1988 makes it a criminal offence to operate any motor vehicle on Indian public roads without a valid Third Party (TP) insurance policy. The Motor Vehicles (Amendment) Act, 2019 significantly enhanced penalties:

| Offence                       | Penalty (First Offence)                     | Penalty (Repeat)                            |
|-------------------------------|---------------------------------------------|---------------------------------------------|
| Driving without insurance     | Fine INR 2,000 and/or 3 months imprisonment | Fine INR 4,000 and/or 3 months imprisonment |
| Driving without licence       | Fine INR 5,000                              | Fine INR 10,000 + suspension                |
| Causing death by rash driving | Imprisonment up to 2 years + fine           | Imprisonment up to 10 years + fine          |
| Hit and run — death           | Compensation INR 2,00,000 to victim family  | —                                           |
| Hit and run — grievous hurt   | Compensation INR 50,000 to victim           | —                                           |

### 1.3 Evolution of Motor Insurance in India

- **1988:** Motor Vehicles Act enacted — Third Party insurance made mandatory for all vehicles on public roads.
- **1994:** Tariff Advisory Committee (TAC) sets motor insurance premium rates — regulated tariff era begins.
- **2007:** IRDAI detariffs motor insurance — Own Damage premiums freed; TP remains regulated.
- **2016:** Acko founded — first digital-only insurer in India.
- **2018:** Supreme Court mandates 3-year TP for new cars, 5-year TP for new two-wheelers at purchase.
- **2019:** IRDAI allows Stand-Alone Own Damage (SAOD) policies — OD and TP can be bought from different insurers.
- **2020:** IRDAI mandates coverage of COVID-19 related hospitalisation under health policies.
- **2023:** IRDAI introduces motor insurance reforms — standardised policy wordings, enhanced claims SLAs.
- **2024:** IRDAI revises Third Party premium rates; EV-specific discounts enhanced.

## CHAPTER 2 — DEFINITIONS AND INTERPRETATION

The following definitions apply to all sections, clauses, endorsements, and schedules of this policy.

|                                        |                                                                                                                                                |
|----------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Insured Vehicle</b>                 | The motor vehicle described in the Policy Schedule — including factory-fitted accessories — registered in India and owned by the Policyholder. |
| <b>IDV — Insured Declared Value</b>    | Current market value of the vehicle = Manufacturer's ex-showroom price minus IRDAI depreciation. Maximum payable on total loss or theft.       |
| <b>OD — Own Damage</b>                 | Section covering physical loss or damage to the Insured Vehicle caused by insured perils.                                                      |
| <b>TP — Third Party</b>                | Mandatory section covering legal liability to third parties for death, bodily injury, or property damage caused by the Insured Vehicle.        |
| <b>Comprehensive Policy</b>            | Motor policy combining both OD and TP sections in one document.                                                                                |
| <b>SAOD — Stand-Alone OD</b>           | OD-only policy for vehicles with existing valid TP from any IRDAI insurer.                                                                     |
| <b>NCB — No Claim Bonus</b>            | Discount on OD premium earned for consecutive claim-free policy years. Range: 20%–50%.                                                         |
| <b>Total Loss</b>                      | Repair cost exceeds 75% of IDV. Insurer pays IDV; salvage passes to insurer.                                                                   |
| <b>CTL — Constructive Total Loss</b>   | Salvage value + estimated repair > IDV. Treated same as Total Loss.                                                                            |
| <b>Compulsory Deductible</b>           | IRDAI-mandated amount policyholder bears per OD claim: INR 1,000 (car ≤1,500 cc), INR 2,000 (car >1,500 cc), INR 100 (two-wheelers).           |
| <b>Voluntary Deductible</b>            | Optional self-chosen deductible elected by policyholder for OD premium discount.                                                               |
| <b>Endorsement</b>                     | Written amendment modifying policy terms, coverage, schedule, or premium.                                                                      |
| <b>Network Garage</b>                  | Acko-empanelled cashless repair workshop. 5,500+ locations across India.                                                                       |
| <b>Add-on Cover</b>                    | Optional supplemental coverage extending base policy scope for additional premium.                                                             |
| <b>Certificate of Insurance</b>        | Statutory document evidencing valid motor insurance. Must be in vehicle at all times.                                                          |
| <b>Policy Period</b>                   | Duration of coverage: inception date 12:01 AM to expiry date 11:59 PM as stated in Schedule.                                                   |
| <b>Policyholder / Insured</b>          | Individual or entity named in Schedule who owns the Insured Vehicle and holds this policy.                                                     |
| <b>Third Party</b>                     | Any person other than the Policyholder, Acko, or a permitted driver who suffers loss from the Insured Vehicle.                                 |
| <b>FIR — First Information Report</b>  | Police document required for theft, third-party injury/death claims.                                                                           |
| <b>NTC — Non-Traceable Certificate</b> | Police document issued after 90 days confirming a stolen vehicle has not been recovered.                                                       |
| <b>RC — Registration Certificate</b>   | Official RTO document confirming vehicle registration and ownership.                                                                           |
| <b>RTO — Regional Transport Office</b> | Government authority for vehicle registration, driving licences, and MV Act enforcement.                                                       |

|                              |                                                                                                               |
|------------------------------|---------------------------------------------------------------------------------------------------------------|
| <b>Surveyor</b>              | IRDAI-licensed loss assessor appointed by Acko to inspect and assess major damage claims.                     |
| <b>Depreciation on Parts</b> | Reduction applied to cost of replaced parts in partial loss claims based on material type and vehicle age.    |
| <b>Subrogation</b>           | Acko's right to recover claim amounts paid from responsible third parties, acting in the Policyholder's name. |

## CHAPTER 3 — TYPES OF MOTOR INSURANCE POLICIES

### 3.1 Policy Type Comparison

| Feature                   | Third Party Only      | Stand-Alone OD                   | Comprehensive                  |
|---------------------------|-----------------------|----------------------------------|--------------------------------|
| Legal Requirement         | Mandatory by law      | Requires valid TP                | Covers both OD + TP            |
| Own Vehicle Damage        | Not covered           | Covered                          | Covered                        |
| Third Party Liability     | Covered               | Not covered                      | Covered                        |
| PA Cover for Owner-Driver | Optional add-on       | Not applicable                   | Included / add-on              |
| Add-ons Available         | No                    | Yes                              | Yes                            |
| Recommended For           | Budget / old vehicles | New vehicles (with TP elsewhere) | All vehicles — best protection |
| TP Premium                | IRDAI fixed rate      | Separate TP required             | IRDAI fixed (included)         |
| OD Premium                | Nil                   | Market-rated                     | Market-rated                   |

### 3.2 Long-Term Motor Insurance (Supreme Court Order 2018)

Following the Hon'ble Supreme Court's order (Writ Petition Civil 295/2012), all new vehicles sold from September 1, 2018 onwards must carry long-term Third Party policies:

| Vehicle Type           | Mandatory TP Period              | OD Period         | TP Premium Payment          |
|------------------------|----------------------------------|-------------------|-----------------------------|
| New Private Car        | 3 years                          | 1 year or 3 years | Full 3-year premium upfront |
| New Two-Wheeler        | 5 years                          | 1 year or 5 years | Full 5-year premium upfront |
| New Commercial Vehicle | 1 year (standard)                | 1 year            | Annual                      |
| Electric Cars          | 3 years (with IRDAI EV discount) | 1 or 3 years      | Full 3-year premium upfront |
| Electric Two-Wheelers  | 5 years (INR 687/year flat)      | 1 or 5 years      | Full 5-year premium upfront |

### 3.3 Electric Vehicle (EV) Insurance — Special Provisions

- **IDV includes battery:** EV battery pack is included in the manufacturer's selling price and therefore reflected in IDV. Battery-specific add-ons provide additional protection.
- **Lower TP premium:** IRDAI mandates EV TP premiums approximately 15% below equivalent ICE vehicle rates. Electric two-wheeler TP is a flat INR 687/year.
- **Standard OD exclusions:** Damage to EV battery from overcharging, deep discharge, thermal runaway from manufacturing defect, or software failure is excluded under standard OD. EV Add-on covers these.
- **Charging infrastructure:** Home charging units and portable chargers can be covered as declared accessories for additional premium.
- **Repair network:** Only authorised EV service centres with trained technicians handle battery-related repairs — Acko's network includes authorised Tata, MG, BYD, Ola, and Ather service centres.

## CHAPTER 4 — OWN DAMAGE COVERAGE — INSURED PERILS

Subject to the terms and conditions of this policy, Acko indemnifies the Policyholder against accidental loss of or damage to the Insured Vehicle caused by or arising from the following insured perils:

### Fire, Explosion & Self-Ignition

Covers loss or damage from fire (including engine compartment fire), external explosion, self-ignition (spontaneous combustion due to electrical fault, fuel leak, or short circuit), and direct lightning strike. Also covers damage from firefighting efforts needed to extinguish the fire. Does NOT cover fire due to policyholder's negligence in storing flammable materials inside the vehicle.

### Natural Calamities

Damage from any of the following natural events is covered:

- Flood and inundation — rising water levels entering the vehicle cabin or engine bay.
- Cyclone, typhoon, hurricane — windstorm damage and flying debris impact.
- Earthquake — ground movement, building collapse onto vehicle, rockfall.
- Hailstorm — hailstone impact damage to body, glass, and roof.
- Landslide and rockslide — vehicle buried or struck by falling earth or rock.
- Frost — damage to mechanical and cooling systems from extreme cold.
- Storm and tempest — windstorm and associated rain damage.

### Accidental External Means

Covers physical damage from unexpected external forces including:

- Road traffic collisions — impact with another vehicle, stationary object, road barrier, or animal.
- Overturning — vehicle rolling over due to tyre burst, overcorrection, or road defect.
- Impact from falling objects — tree branches, lamp posts, construction material.
- Damage from potholes, speed breakers, or road defects to underbody and suspension.
- Parking damage — scrapes and dents from other vehicles in parking areas.
- Collision with animals — cattle, stray dogs, wildlife on roads.

### Theft and Burglary

Covers total loss of the vehicle due to theft, burglary, or robbery. Key conditions:

- FIR must be filed within 24 hours of discovering the theft.
- Acko must be intimated within 24 hours of discovery.
- After 90 days without recovery, police issue a Non-Traceable Certificate (NTC).
- On receipt of NTC, claim is settled at IDV minus deductibles and salvage value.
- All sets of vehicle keys must be surrendered to Acko.
- Theft of accessories or personal items from inside vehicle (without vehicle theft) is excluded.

### Riots, Strikes and Malicious Acts

Damage caused by civil unrest including riots, industrial strikes, and deliberate damage by third parties (vandalism). Requires police complaint (FIR or General Diary entry) as evidence.

### Transit Damage

Damage while the Insured Vehicle is being transported — by road (car carrier), rail (auto wagon), air (cargo), or sea (ferry). Covers loading and unloading damage and damage in multi-storey parking facility lifts.

### Terrorism

Damage from terrorist acts, covered under the IRDAI Terrorism Pool managed by GIC Re. Claims involving terrorism require investigation and confirmation before settlement.

## CHAPTER 5 — THIRD PARTY LIABILITY SECTION

### 5.1 Bodily Injury and Death Liability

Acko indemnifies the Policyholder for all sums (including claimant's costs and expenses) legally payable for accidental death of or bodily injury to any third party caused by the use of the Insured Vehicle. This liability is unlimited in quantum — MACT tribunal awards of any amount are covered in full, as required by the Motor Vehicles Act.

### 5.2 Third Party Property Damage

Third party property damage liability is covered up to INR 7,50,000 per accident as per IRDAI regulations. Any property damage liability beyond INR 7,50,000 must be borne personally by the Policyholder.

### 5.3 Compulsory Personal Accident (CPA) Cover for Owner-Driver

IRDAI mandates CPA cover of INR 15,00,000 for the registered owner-driver. This covers accidental death and permanent disability while driving, mounting into, or dismounting from the Insured Vehicle:

| Nature of Injury                                           | CPA Benefit                                     |
|------------------------------------------------------------|-------------------------------------------------|
| Death (any cause from accident)                            | 100% — INR 15,00,000                            |
| Loss of two limbs or two eyes or one limb + one eye        | 100% — INR 15,00,000                            |
| Loss of one limb or one eye                                | 50% — INR 7,50,000                              |
| Permanent total disablement from injuries other than above | 100% — INR 15,00,000                            |
| Permanent partial disablement                              | Proportionate to disability % per medical scale |

### 5.4 IRDAI Third Party Premium Rates (2024–25 Reference)

| Vehicle Category     | Engine / Motor Capacity | Annual TP Premium              |
|----------------------|-------------------------|--------------------------------|
| Private Car          | Up to 1,000 cc          | INR 2,094                      |
| Private Car          | 1,001 cc to 1,500 cc    | INR 3,416                      |
| Private Car          | Above 1,500 cc          | INR 7,897                      |
| Electric Car         | All KW outputs          | ~15% below equivalent ICE rate |
| Two-Wheeler          | Up to 75 cc             | INR 538                        |
| Two-Wheeler          | 75 cc to 150 cc         | INR 714                        |
| Two-Wheeler          | 150 cc to 350 cc        | INR 1,366                      |
| Two-Wheeler          | Above 350 cc            | INR 2,804                      |
| Electric Two-Wheeler | All outputs             | INR 687 flat per year          |



## CHAPTER 6 — INSURED DECLARED VALUE AND DEPRECIATION

### 6.1 IDV Formula

**IDV Formula:** IDV = Manufacturer Ex-Showroom Price of Make, Model and Variant multiplied by (1 minus Applicable Depreciation Rate). IDV is the Sum Insured for the Own Damage section.

| Vehicle Age at Policy Start   | IDV Depreciation Rate | Implication                                       |
|-------------------------------|-----------------------|---------------------------------------------------|
| Less than 6 months            | 5%                    | Near-new IDV — best protection                    |
| 6 months to 1 year            | 15%                   |                                                   |
| 1 year to 2 years             | 20%                   |                                                   |
| 2 years to 3 years            | 30%                   | Significant drop — check IDV matches market value |
| 3 years to 4 years            | 40%                   |                                                   |
| 4 years to 5 years            | 50%                   | Consider whether Zero Dep is still worth it       |
| Above 5 years                 | By mutual agreement   | Surveyor assessment or market value guide         |
| Vintage / classic (25+ years) | By mutual agreement   | Specialist valuation required                     |

### 6.2 Depreciation on Replaced Parts During Claims

In partial loss claims (repairable vehicle), depreciation is applied on the cost of replaced parts — not the IDV. These rates apply unless Zero Depreciation Add-on is active:

| Part Material                        | Depreciation on Part Cost        | Examples                                       |
|--------------------------------------|----------------------------------|------------------------------------------------|
| Rubber, nylon, plastic, tyres, tubes | 50%                              | Bumpers, mudguards, interior trim, tyres       |
| Fibre glass components               | 30%                              | Body panels on some sports/luxury cars         |
| Glass components                     | Nil depreciation on glass itself | Windshield, door glass, sunroof                |
| All metal components                 | Nil — no depreciation on metal   | Doors, bonnet, boot lid, chassis rails         |
| Paint / full body painting           | 50% on material cost of painting | Full repaint after major accident              |
| Battery (conventional 12V)           | 50%                              | Lead-acid starter battery                      |
| EV battery pack                      | As per IRDAI EV schedule         | High-voltage lithium battery — needs EV Add-on |

**Zero Depreciation Add-on:** Waives all depreciation deductions on replaced parts. Acko reimburses 100% of part cost (invoice price). Available for vehicles up to 5 years old. Maximum 2 claims per policy year eligible for Zero Dep benefit.

### 6.3 Voluntary IDV Adjustment (±15% Band)

Policyholders may set IDV within ±15% of Acko's calculated IDV. Setting higher IDV means higher premium but better total loss / theft payout. Setting lower IDV reduces premium but reduces payout. Acko recommends IDV closest to the actual current resale value of the vehicle.

### 6.4 IDV Calculation Examples

| Vehicle | Ex-Showroom | Age | Depreciation | IDV |
|---------|-------------|-----|--------------|-----|
|---------|-------------|-----|--------------|-----|

|                          |               |                  |     |               |
|--------------------------|---------------|------------------|-----|---------------|
| Maruti Swift ZXi (1.2L)  | INR 9,89,000  | New (0–6 months) | 5%  | INR 9,39,550  |
| Honda City ZX (1.5L)     | INR 15,99,000 | 2 years          | 20% | INR 12,79,200 |
| Toyota Fortuner (2.8L)   | INR 44,00,000 | 4 years          | 40% | INR 26,40,000 |
| Tata Nexon EV Max        | INR 19,99,000 | 1 year           | 15% | INR 16,99,150 |
| Honda Activa 6G          | INR 82,000    | 3 years          | 30% | INR 57,400    |
| Royal Enfield Meteor 350 | INR 2,19,000  | 2 years          | 20% | INR 1,75,200  |

## CHAPTER 7 — OPTIONAL ADD-ON COVERS — COMPLETE GUIDE

Add-ons are optional coverage extensions available at additional premium with OD or Comprehensive policies. All selected add-ons must appear in the Policy Schedule.

|                                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
|---------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Zero Depreciation (Bumper-to-Bumper)</b> | <p>Waives depreciation on all replaced parts during claims. Full invoice cost of parts reimbursed (metal, plastic, rubber, glass, fibre). Available for vehicles up to 5 years old. Maximum 2 claims per year under Zero Dep. On the 3rd claim in the year, standard depreciation applies. Does NOT waive the compulsory deductible. Strongly recommended for: new cars under 3 years; expensive vehicles above INR 8 lakhs; drivers in heavy-traffic cities.</p>                                          |
| <b>Engine &amp; Gearbox Protection</b>      | <p>Standard OD excludes engine damage from water ingress (hydrostatic lock), lubricant leakage, and consequential engine damage. This add-on covers: hydrostatic lock from driving through flooded roads; internal engine part damage (pistons, valves, con-rods) from water entry; gearbox damage from lubricant loss after an accident; oil sump puncture damage; differential damage from lubricant loss. Essential for: Mumbai, Chennai, Kolkata, Bengaluru — cities with annual monsoon flooding.</p> |
| <b>Roadside Assistance (RSA)</b>            | <p>24x7 pan-India emergency roadside help. Services: towing to nearest garage (up to 50 km free); flat tyre change (using spare); emergency fuel delivery (delivery free; cost of fuel borne by policyholder); battery jump-start; key lockout assistance; minor on-site repair up to INR 1,500; cab arrangement up to INR 1,500; medical referral. Call Acko RSA number printed on Policy Schedule. Average response time: 30–60 minutes in cities; 90–120 minutes on highways.</p>                       |
| <b>Return to Invoice (RTI)</b>              | <p>On total loss or theft, standard policy pays IDV (depreciated value). RTI bridges the gap to the original on-road purchase price. Example: Car bought for INR 13 lakhs (on-road). After 2 years IDV is INR 10.4 lakhs. RTI pays INR 13 lakhs minus prior claims and deductibles — full replacement. Available for vehicles up to 3 years old. On RTI settlement, vehicle title (or salvage) passes to Acko.</p>                                                                                         |
| <b>NCB Protection</b>                       | <p>Standard policy: even one OD claim resets NCB to 0% at renewal. NCB Protection allows one OD claim per year without losing accumulated NCB slab. Example: 50% NCB policyholder makes one claim → with NCB Protection, NCB stays at 50% at renewal. Without it, NCB drops to 0% — increasing OD premium by up to 100%. Most valuable when NCB is at 35–50%. Cannot be added mid-term — must be added at inception or renewal.</p>                                                                        |
| <b>Consumables Cover</b>                    | <p>During accident repair, workshops use consumables (engine oil, gear oil, coolant, brake fluid, nuts, bolts, washers, gaskets, grease, AC refrigerant) that are excluded under standard OD. This add-on reimburses cost of all consumables replaced as part of a covered accident repair. Saves typically INR 2,000–8,000 per major repair.</p>                                                                                                                                                          |
| <b>Tyre &amp; Rim Protection</b>            | <p>Standard OD excludes standalone tyre and rim damage. This add-on covers: accidental tyre cuts or gashes from road debris; tyre burst (blowout) during normal driving; tyre bulging from pothole impact; rim damage from tyre burst or pothole; up to 4 tyre replacements per year (depreciation on tyre age applies). Excludes: general tyre wear, damage from under-inflation, deliberate damage.</p>                                                                                                  |

|                                       |                                                                                                                                                                                                                                                                                                                                                                                        |
|---------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Key &amp; Lock Replacement</b>     | Modern smart keys, transponder keys, and proximity fobs cost INR 5,000–30,000 to replace. This add-on covers: loss of all vehicle keys (theft or misplacement anywhere in India); replacement of all key sets including spare keys; replacement of door lock barrel and ignition if keys stolen (to prevent break-in). Limit: up to INR 15,000 per incident; max 2 incidents per year. |
| <b>Passenger PA Cover</b>             | Standard CPA covers only the owner-driver. This extends personal accident coverage to all passengers. Capital Sum Insured: up to INR 2,00,000 per passenger. Benefits: accidental death (100%), permanent total disability (100%), permanent partial disability (proportionate). Number covered limited to registered seating capacity. Annual add-on — must be renewed each year.     |
| <b>EV Battery &amp; Invoice Cover</b> | For electric vehicles only. Covers: EV battery damage from electrical faults, charging equipment malfunction, thermal runaway (subject to conditions); charging equipment and cables (home charger); on total loss or theft, pays original on-road invoice value including battery pack (like RTI for EVs). Available for EVs up to 5 years old.                                       |

## CHAPTER 8 — GENERAL EXCLUSIONS

The following are NOT covered under this policy:

### ✗ 8.1 Consequential and Indirect Loss

Any loss that is a consequence of the primary loss rather than a direct result of an insured peril: loss of earnings while vehicle is off road; hotel costs during repairs; taxi bills while car is in garage; fuel costs incurred due to breakdown; depreciation in vehicle value after accident; loss of personal items left in vehicle.

### ✗ 8.2 Mechanical and Electrical Breakdown

Gradual deterioration, mechanical or electrical failure NOT caused by an insured accident: engine seizure from poor lubrication; alternator or starter motor failure; clutch plate wear; gearbox failure from normal use; rust and corrosion; electrical faults due to age; oil leaks from worn seals.

### ✗ 8.3 Driving Under Influence (DUI)

Any loss occurring while the driver's BAC exceeds 0.03% (as per MV Act 2019) or while under the influence of narcotics, controlled substances, or impairing prescription medications. Police reports, blood test results, or breathalyser readings establish DUI.

### ✗ 8.4 Driving Without Valid Licence

Loss occurring while driven by: (a) person without a driving licence; (b) learner's licence holder without qualified supervisor; (c) holder of expired licence; (d) person with licence not valid for this vehicle class; (e) person with suspended/revoked licence.

### ✗ 8.5 Overloading and Unauthorised Use

Loss from: using vehicle beyond registered seating/loading capacity; using private vehicle for commercial passenger hire without permit; using vehicle for racing, speed testing, or competitive events; operating vehicle in a manner not permitted under the RC.

### ✗ 8.6 War, Nuclear, and Radioactive Risks

War (declared or undeclared), invasion, civil war, rebellion, revolution, military operations, nuclear explosion, ionising radiation, radioactive contamination, chemical warfare. Absolute exclusion — no add-on removes this.

### ✗ 8.7 Geographical Limits

Loss occurring outside India (including territorial waters) without prior written consent from Acko. (Bilateral arrangements may allow temporary coverage in Nepal, Bhutan, Sri Lanka, Bangladesh — enquire separately.)

### ✗ 8.8 Racing and Speed Testing

Loss during racing, pace-making, reliability trials, track events, autocross, motorkhana, or any competitive motor sport use.

### ✗ 8.9 Depreciation on Replaced Parts (Standard Policy)

50% deduction on plastic/rubber/tyre/nylon parts; 30% on fibre; 50% on full-body painting material. Removed by Zero Depreciation Add-on.

### ✗ 8.10 Consequential Engine Damage (Standard Policy)

Hydrostatic lock from water ingress; engine oil starvation from sump damage not caused by an insured accident; overheating from coolant loss not from an insured accident. Removed by Engine & Gearbox Protection Add-on.

**✖ 8.11 Theft of Accessories or Personal Items**

Theft of in-vehicle items (audio systems, GPS, cameras, phones, cash, jewellery, clothes, luggage) without theft of the vehicle itself is excluded.

**✖ 8.12 Contractual Liability**

Liability assumed by the Policyholder beyond their legal liability under any special contract or agreement — e.g., indemnity clause in a vehicle lease agreement.

## CHAPTER 9 — CLAIMS PROCEDURE AND SETTLEMENT

### 9.1 Acko's Digital Claims Process

Acko operates a fully digital, end-to-end claims process. No physical forms, no agent visits, no branch visits. Everything via the Acko app or website. Acko's proprietary AI processes minor claims within hours; complex cases have dedicated specialist teams.

### 9.2 Immediate Steps After an Incident

| Priority       | Action Required                                                               | Method                              | When            |
|----------------|-------------------------------------------------------------------------------|-------------------------------------|-----------------|
| Safety First   | Ensure all persons are safe. Move vehicle to safe position.                   | On-site judgment                    | Immediately     |
| Medical Aid    | Arrange ambulance for injured persons.                                        | Call 108                            | Immediately     |
| Police         | File FIR for theft, third-party injury, or death.                             | Nearest police station or dial 100  | Within 24 hours |
| Inform Acko    | Register claim via app, website, or WhatsApp.                                 | Acko app → My Policies → File Claim | Within 24 hours |
| Photo Evidence | Capture minimum 6 damage photos using Acko app's guided flow.                 | Acko app photo capture              | At the scene    |
| Garage         | Take vehicle to Acko network garage (cashless) or any garage (reimbursement). | Acko app → Find Garage              | Within 48 hours |
| Documents      | Collect RC, driving licence, FIR copy, repair bills.                          | Keep originals safely               | As required     |

### 9.3 Cashless Claim at Network Garages — Step by Step

1. Open Acko app → My Policies → File a Claim. Enter date, location, and brief description of the incident.
2. Upload 6 photos using Acko's guided photo capture: front, rear, left side, right side, close-up of damage, odometer/dashboard.
3. Acko AI analyses photos. Minor claims get approval within 60 minutes. Major claims are assigned to a human specialist.
4. Use Acko app → Find Garage to locate the nearest network garage. Drive or tow the vehicle there.
5. The garage's insurance desk coordinates directly with Acko. For major damage, Acko's licensed surveyor visits within 24–48 hours.
6. Garage carries out approved repairs. Any repair scope increase requires prior Acko authorization.
7. On completion, the garage submits the final bill to Acko. Acko pays the admissible amount to the garage directly.
8. In eligible metro cities: Acko arranges free doorstep delivery of the repaired vehicle within 3 working days of repair completion.

### 9.4 Reimbursement Claim Process

1. Register claim on Acko app within 24 hours. Do NOT commence repairs without informing Acko — unreported repairs may get partial reimbursement only.
2. Get prior approval from Acko before sending vehicle to a non-network garage.
3. After repairs, collect all original bills, receipts, and a detailed repair job card from the garage.
4. Upload all documents (FIR if applicable, RC copy, driving licence, all bills) via Acko app within 30 days of repair completion.
5. Acko reviews documents and processes the reimbursement claim within 7–14 working days.
6. Admissible amount transferred to registered bank account via NEFT. Confirmation sent via app and email.

## 9.5 Claim Documents Required

| Document                           | OD Cashless           | OD Reimbursement      | Theft Claim                   |
|------------------------------------|-----------------------|-----------------------|-------------------------------|
| Claim form via Acko app            | Required              | Required              | Required                      |
| Vehicle RC copy                    | Required              | Required              | Required                      |
| Valid driving licence of driver    | Required              | Required              | Required                      |
| FIR copy                           | If TP involved        | If TP involved        | Required                      |
| Original repair bills and receipts | Garage submits        | Upload to Acko        | N/A                           |
| 6+ damage photographs              | Via app               | Via app               | N/A                           |
| Non-Traceable Certificate (NTC)    | N/A                   | N/A                   | After 90 days — required      |
| All sets of vehicle keys           | N/A                   | N/A                   | Required (surrender to Acko)  |
| NOC from financier / bank          | If vehicle under loan | If vehicle under loan | Required                      |
| Form 28, 29, 30 (vehicle transfer) | N/A                   | N/A                   | Required for salvage transfer |
| Bank details for NEFT              | N/A                   | Required              | Required                      |
| Surveyor report                    | For major claims      | For major claims      | N/A                           |

## 9.6 Claims Settlement Timeline

| Claim Type                    | Target Timeline                | Key Steps                                                              |
|-------------------------------|--------------------------------|------------------------------------------------------------------------|
| AI-Assessed Minor Cashless    | 60 minutes to 3 hours          | Photo upload → AI approval → Garage authorization                      |
| Standard Minor Cashless (OD)  | 1 to 3 working days            | Survey (if needed) → Garage approval → Repair → Settlement             |
| Major Cashless (OD)           | 3 to 7 working days            | Survey → Detailed estimate → Staged approval → Final bill → Settlement |
| Reimbursement — Complete Docs | 7 to 14 working days           | Document review → Verification → NEFT transfer                         |
| Total Loss                    | 15 to 30 working days          | Survey → Salvage valuation → IDV payment → RC transfer to Acko         |
| Theft Claim                   | 30 to 45 working days from NTC | FIR → 90-day wait → NTC → Document verification → Settlement           |
| Third Party — MACT Award      | Per court timeline (1–3 years) | Acko defends and pays MACT tribunal award in full                      |



## CHAPTER 10 — NO CLAIM BONUS — COMPLETE GUIDE

| Consecutive Claim-Free Years       | NCB on OD Premium | Example: OD Premium INR 12,000 | Annual Saving |
|------------------------------------|-------------------|--------------------------------|---------------|
| 0 (New Policy or Post-Claim Reset) | 0%                | INR 12,000                     | INR 0         |
| 1 Year                             | 20%               | INR 9,600                      | INR 2,400     |
| 2 Years                            | 25%               | INR 9,000                      | INR 3,000     |
| 3 Years                            | 35%               | INR 7,800                      | INR 4,200     |
| 4 Years                            | 45%               | INR 6,600                      | INR 5,400     |
| 5+ Years (Maximum)                 | 50%               | INR 6,000                      | INR 6,000     |

**NCB belongs to the policyholder — not the vehicle.** Sell your car and buy a new one? Your NCB transfers. Request an NCB certificate from Acko (issued in 3 working days, valid 90 days) and use it when insuring your new vehicle.

- NCB applies ONLY to the Own Damage premium — not to Third Party premium or Personal Accident cover.
- Even one OD claim in a policy year resets NCB to 0% at renewal — unless NCB Protection Add-on is active.
- Third Party claims and Personal Accident claims do NOT affect NCB.
- NCB is forfeited if policy is not renewed within 90 days of expiry — no recovery possible after this.
- NCB can be transferred to a different make or model of vehicle — it follows the policyholder.
- NCB from a previous insurer can be ported to Acko with an NCB certificate — valid 90 days.

## CHAPTER 11 — RENEWALS, BREAK-IN POLICIES AND ENDORSEMENTS

### 11.1 Renewal Timeline

| Days to / from Expiry      | Status               | What Happens                                                  | Action Required                   |
|----------------------------|----------------------|---------------------------------------------------------------|-----------------------------------|
| 60 days before expiry      | Early renewal window | Optional renewal — locks in current IDV and add-ons           | Renew optionally if premium suits |
| 30 days before expiry      | Renewal reminder     | Acko sends SMS + app notification                             | Review and plan renewal           |
| 7 days before expiry       | Urgent reminder      | Risk of lapse — no inspection needed if renewed before expiry | Renew immediately                 |
| Expiry date                | Policy expires       | All coverage ceases — TP also lapses                          | Do not drive — renew urgently     |
| 1–30 days after expiry     | Break-in (short)     | Vehicle inspection typically required for OD                  | Renew ASAP — inspect and renew    |
| 31–90 days after expiry    | Break-in (long)      | Physical inspection mandatory for OD renewal                  | Renew urgently — NCB still intact |
| Above 90 days after expiry | NCB forfeited        | NCB resets to 0% permanently — no recovery                    | Fresh policy with 0% NCB          |

### 11.2 Endorsements — Mid-Term Policy Changes

| Endorsement Type               | When Required                                      | Premium Impact                       |
|--------------------------------|----------------------------------------------------|--------------------------------------|
| Change of vehicle (same owner) | Selling old car, buying new car — transfer policy  | IDV change → premium recalculated    |
| CNG / LPG kit addition         | After installing CNG / LPG kit                     | Slight increase in OD premium        |
| Change of address              | Relocation to different city / zone                | Zone change may affect premium       |
| Addition of accessories        | After-market add-ons above INR 10,000              | Additional premium on declared value |
| Inclusion of add-on mid-term   | Adding Zero Dep, RSA, etc. mid-policy              | Pro-rata additional premium          |
| Correction of errors           | Name, engine number, or chassis number corrections | Administrative — no premium change   |
| Transfer of ownership          | On sale of vehicle — buyer needs new OD policy     | Cancellation and refund for seller   |

## CHAPTER 12 — PREMIUM CALCULATION AND RATING FACTORS

### 12.1 OD Premium Rating Factors

| Factor                   | Impact on OD Premium                                      | Notes                                             |
|--------------------------|-----------------------------------------------------------|---------------------------------------------------|
| IDV (Sum Insured)        | Higher IDV → Higher premium                               | OD rate ≈ 2.5%–4% of IDV for private cars         |
| Vehicle Age              | Older vehicle → Lower IDV → Lower premium                 | But older vehicles have higher mechanical risk    |
| Fuel Type                | Diesel slightly higher; CNG lower; EV with IRDAI discount | Reflects claim cost profile                       |
| Engine Capacity          | Higher CC → Higher TP premium                             | OD rate also slightly higher for performance cars |
| Geographic Zone          | Zone A (metro) > Zone B (other areas)                     | Mumbai, Delhi, Bangalore highest in India         |
| NCB Discount             | Up to 50% reduction on OD premium                         | Earned for claim-free years                       |
| Voluntary Deductible     | Each INR 2,500–15,000 deductible → 5–20% OD discount      | Policyholder bears first portion of claim         |
| Anti-Theft Device (ARAI) | 2.5% discount on OD premium                               | Submit installation certificate                   |
| Add-on Covers            | Each add-on increases premium                             | Zero Dep adds ~15–25% to OD premium               |
| GST                      | 18% on total premium (OD + TP + Add-ons)                  | GST paid to government — not insurer revenue      |

### 12.2 Worked Premium Examples

#### New Maruti Swift ZXi (1.2L Petrol) — Year 1, No NCB, Zero Dep + Engine Protection + RSA

|                                    |                 |
|------------------------------------|-----------------|
| <b>Ex-Showroom Price</b>           | INR 9,89,000    |
| <b>IDV (5% depreciation)</b>       | INR 9,39,550    |
| <b>OD Base Rate</b>                | 3.0%            |
| <b>OD Premium (IDV × Rate)</b>     | INR 28,187      |
| <b>NCB Discount</b>                | 0% (new policy) |
| <b>OD Premium after NCB</b>        | INR 28,187      |
| <b>TP Premium (1,000–1,500 cc)</b> | INR 3,416       |
| <b>CPA Premium</b>                 | INR 750         |
| <b>Zero Dep Add-on</b>             | INR 4,200       |
| <b>Engine Protection Add-on</b>    | INR 2,100       |
| <b>RSA Add-on</b>                  | INR 899         |
| <b>Sub-Total (before GST)</b>      | INR 39,552      |
| <b>GST @ 18%</b>                   | INR 7,119       |

|                      |            |
|----------------------|------------|
| Total Annual Premium | INR 46,671 |
|----------------------|------------|

### 5-Year-Old Honda City (1.5L Petrol) — 50% NCB, No Add-ons, Voluntary Deductible INR 5,000

|                                           |                          |
|-------------------------------------------|--------------------------|
| Ex-Showroom Price (new)                   | INR 14,00,000 (original) |
| IDV (50% depreciation)                    | INR 7,00,000             |
| OD Base Rate                              | 3.2%                     |
| OD Premium (IDV × Rate)                   | INR 22,400               |
| NCB Discount @ 50%                        | –INR 11,200              |
| OD After NCB                              | INR 11,200               |
| Voluntary Deductible Discount (INR 5,000) | –INR 1,120 (10% approx)  |
| OD After Discounts                        | INR 10,080               |
| TP Premium (1,001–1,500 cc)               | INR 3,416                |
| CPA Premium                               | INR 750                  |
| Add-ons                                   | Nil                      |
| Sub-Total                                 | INR 14,246               |
| GST @ 18%                                 | INR 2,564                |
| Total Annual Premium                      | INR 16,810               |

## CHAPTER 13 — CLAIMS CASE STUDIES

Illustrative examples of how Acko processes and settles common motor insurance claims. All figures are representative.

### CASE STUDY: Minor Accident — Cashless | Maruti Baleno, 1 Year Old, Zero Dep Active

|                              |                                                                                                          |
|------------------------------|----------------------------------------------------------------------------------------------------------|
| <b>Incident</b>              | Policyholder scrapes front bumper and left fender in a parking lot. No third party involved.             |
| <b>Claim Registration</b>    | App claim filed with 7 photos. AI analyses within 45 minutes.                                            |
| <b>AI Estimate</b>           | Front bumper (replace): INR 8,500. Left fender (repair): INR 4,200. Paint: INR 3,800. Total: INR 16,500. |
| <b>Zero Dep Benefit</b>      | No depreciation deductions on plastic bumper or paint — full amount admissible.                          |
| <b>Compulsory Deductible</b> | INR 1,000 (car 1,200 cc)                                                                                 |
| <b>Acko Pays to Garage</b>   | INR 16,500 – INR 1,000 = INR 15,500                                                                      |
| <b>Customer Pays</b>         | INR 1,000 only (compulsory deductible)                                                                   |
| <b>NCB Impact</b>            | NCB resets from 20% to 0% at next renewal.                                                               |
| <b>Settlement Time</b>       | 2 working days from photo upload to repair completion.                                                   |

### CASE STUDY: Flood Engine Damage | Toyota Innova, 4 Years Old, Engine Protection Active

|                                  |                                                                                                                                                                          |
|----------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Incident</b>                  | During heavy monsoon, driver attempts to cross a flooded underpass in Bengaluru. Engine stalls. Hydrostatic lock — water entered air intake. Engine is severely damaged. |
| <b>RSA Called</b>                | Acko RSA tows vehicle to network garage. Claim registered on app simultaneously.                                                                                         |
| <b>Surveyor Assessment</b>       | Surveyor visits within 48 hours. Internal engine damage confirmed. Repair estimate: INR 3,60,000.                                                                        |
| <b>Without Engine Protection</b> | Standard OD would exclude the INR 2,20,000 engine overhaul as consequential water damage.                                                                                |
| <b>With Engine Protection</b>    | Full engine overhaul covered: parts INR 2,20,000 (nil depreciation on metal), labour INR 85,000, other flood damage to wiring and interior INR 35,000.                   |
| <b>Depreciation Applied</b>      | Wiring (plastic/rubber): 50% of INR 20,000 = INR 10,000 deduction (no Zero Dep active).                                                                                  |
| <b>Compulsory Deductible</b>     | INR 2,000 (car above 1,500 cc)                                                                                                                                           |
| <b>Acko Pays</b>                 | INR 3,60,000 – INR 10,000 – INR 2,000 = INR 3,48,000                                                                                                                     |
| <b>Settlement Time</b>           | 7 working days (major damage).                                                                                                                                           |

**CASE STUDY: Total Loss + RTI Settlement | Kia Seltos, 1.5 Years Old, RTI Active**

|                        |                                                                                                                                                                |
|------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Incident</b>        | Highway collision — airbags deployed. Vehicle totalled. Survey: repair cost INR 12,80,000 vs IDV of INR 14,20,000 (repair > 75% of IDV → Total Loss declared). |
| <b>Without RTI</b>     | Standard payout: IDV INR 14,20,000 – deductible INR 2,000 = INR 14,18,000.                                                                                     |
| <b>RTI Benefit</b>     | Original on-road invoice: ex-showroom INR 17,00,000 + road tax INR 1,36,000 + registration INR 5,500 + first-year insurance INR 52,000 = INR 18,93,500.        |
| <b>RTI Payout</b>      | INR 18,93,500 – INR 2,000 (deductible) = INR 18,91,500.                                                                                                        |
| <b>Benefit of RTI</b>  | INR 4,73,500 more than standard IDV settlement.                                                                                                                |
| <b>Vehicle Title</b>   | Passes to Acko on RTI settlement. RC cancelled and transferred.                                                                                                |
| <b>Settlement Time</b> | 22 working days (total loss with RTI).                                                                                                                         |
| <b>Key Lesson</b>      | RTI is most valuable in years 1–3 when gap between IDV and on-road price is largest.                                                                           |

## CHAPTER 14 — REGULATORY AND LEGAL FRAMEWORK

### Motor Vehicles Act, 1988 (as amended 2019)

Primary Indian legislation governing all motor vehicles. Section 146: mandatory TP insurance. Section 147: minimum coverage requirements. Section 163-A: structured formula compensation for road accident victims. MV (Amendment) Act 2019: enhanced penalties, cashless treatment for accident victims, motor vehicle accident fund.

### IRDAI (Motor Vehicle Insurance) Regulations, 2019

IRDAI framework for motor insurance: mandates long-term TP for new vehicles; introduces SAOD; standardises claims SLAs; mandates cashless facility in Tier-1 and Tier-2 cities; requires digital policy certificate; specifies grievance redressal timelines.

### Motor Third Party Insurance Pool (GIC Re)

All TP premiums are pooled and managed by GIC Re. IRDAI fixes TP rates annually. Insurers neither profit nor lose on TP — it is a regulated, pooled product. MACT awards are paid from this pool.

### Consumer Protection Act, 2019

Insurance classified as a 'service' under CPA. Policyholders can approach Consumer Disputes Redressal Commissions at district, state, or national level for deficiency in insurance service. E-filing of complaints available at [edaakhil.nic.in](http://edaakhil.nic.in).

### Insurance Ombudsman Rules, 2017

IRDAI-established ombudsman offices in 17 Indian cities. Free, independent dispute resolution for policyholders. Awards up to INR 30 lakhs for motor and health insurance disputes. Process typically resolves in 30–90 days. List of offices: [www.cioins.co.in](http://www.cioins.co.in).

### Motor Accidents Claims Tribunal (MACT)

Under MV Act, MACTs adjudicate TP bodily injury and death claims. Awards are unlimited — can run to several crores for young, high-earning fatality victims. Acko's TP section covers full MACT awards (no monetary cap on bodily injury liability).

### IRDAI IGMS — Integrated Grievance Management System

Online portal at [igms.irda.gov.in](http://igms.irda.gov.in) for registering grievances against any IRDAI insurer. Acko is required to respond within 15 working days. Unresolved IGMS complaints are escalated to IRDAI for regulatory action.

### Digital Personal Data Protection Act, 2023 (DPDPA)

Governs collection, storage, and processing of personal data including insurance proposal and claims data. Acko complies with DPDPA — policyholder data is not sold or shared with third parties for marketing purposes.

## CHAPTER 15 — VEHICLE CATEGORIES AND SPECIAL PROVISIONS

### 15.1 Private Car Classification by Engine Capacity

| CC Category          | TP Premium          | Examples                                     | Notes                         |
|----------------------|---------------------|----------------------------------------------|-------------------------------|
| Up to 1,000 cc       | INR 2,094           | Maruti Alto, Tata Tiago, Hyundai Santro      | Lowest TP rate                |
| 1,001 cc to 1,500 cc | INR 3,416           | Maruti Swift, Honda Amaze, Hyundai Creta 1.5 | Most popular segment          |
| Above 1,500 cc       | INR 7,897           | Toyota Fortuner, BMW X5, Mercedes GLC        | SUVs, luxury cars, 2L+ sedans |
| Electric Car         | ~15% below ICE rate | Tata Nexon EV, MG ZS EV, BYD Atto 3          | IRDAI EV incentive discount   |

### 15.2 Two-Wheeler Classification

| Segment                 | CC Range     | TP Premium   | Examples                                          |
|-------------------------|--------------|--------------|---------------------------------------------------|
| Moped / Entry           | Up to 75 cc  | INR 538      | TVS XL100, Bajaj Sunny                            |
| Commuter Scooter / Bike | 75–150 cc    | INR 714      | Honda Activa, Hero Splendor, Bajaj Discover       |
| Performance / Premium   | 150–350 cc   | INR 1,366    | Bajaj Pulsar, TVS Apache, KTM Duke 250            |
| Superbike / Cruiser     | Above 350 cc | INR 2,804    | Royal Enfield 650, KTM 390, Kawasaki Z400, Harley |
| Electric Two-Wheeler    | All outputs  | INR 687 flat | Ola S1, Ather 450X, TVS iQube, Bajaj Chetak       |

### 15.3 Modifications and Custom Vehicles

| Modification                             | Must Declare?           | Premium Impact                            |
|------------------------------------------|-------------------------|-------------------------------------------|
| CNG/LPG kit                              | Yes — mandatory         | Small increase on OD rate                 |
| After-market alloy wheels / tyres        | Yes (if above standard) | Value declared as accessory               |
| Performance tuning / engine modification | Yes                     | Significant loading — assess case by case |
| Body kit (cosmetic)                      | Yes                     | Based on modification value               |
| Wheelchair lift or ramp (disability)     | Yes                     | Covered as declared accessory             |
| High-value audio / infotainment system   | Yes (above INR 10,000)  | Additional premium on declared value      |



## CHAPTER 16 — ZONE-WISE RISK PROFILE AND PREMIUM GUIDE

| City / Region                   | Primary Risks                                                      | Recommended Add-ons                       | Risk Index  |
|---------------------------------|--------------------------------------------------------------------|-------------------------------------------|-------------|
| Mumbai (Zone A)                 | Annual monsoon flooding, dense traffic, pothole damage, high theft | Engine Prot., Zero Dep, RSA, NCB Protect. | Very High   |
| Delhi NCR (Zone A)              | Highest theft rate in India, smog, road rage incidents             | NCB Protect., Zero Dep, RSA, Key Protect. | Extreme     |
| Bengaluru (Zone A)              | Heavy IT-corridor traffic, pothole damage, localised flooding      | Zero Dep, Engine Prot., RSA               | High        |
| Chennai (Zone A)                | Annual cyclone risk, monsoon flooding, high accident rate          | Engine Prot., Zero Dep, NCB Protect.      | Very High   |
| Kolkata (Zone A)                | Annual flooding, high accident rate, narrow roads                  | Engine Prot., Tyre Protect., Zero Dep     | High        |
| Pune (Zone A)                   | Monsoon flooding, expressway accidents, pothole damage             | Zero Dep, Engine Prot.                    | High        |
| Hyderabad (Zone A)              | Monsoon flooding, high traffic density, expressway risk            | Engine Prot., Zero Dep                    | High        |
| Rajasthan (Zone B)              | Extreme heat (tyre damage), sand exposure, highway fatigue         | Tyre Protect., RSA, Consumables           | Medium      |
| Himachal / Uttarakhand (Zone B) | Landslide risk, snowfall, mountain road accidents                  | Zero Dep, RSA, Transit Cover              | Medium      |
| Northeast India (Zone B)        | Flash flooding, landslides, limited garage network                 | Zero Dep, RSA                             | Medium-High |

CHAPTER 17 — STATE-WISE MOTOR INSURANCE REFERENCE

Premium rates, zone classifications, and claims trends vary by state. Key state-wise insights:

| State            | Zone             | Key Insight                                                                  | Claims Trend                                   |
|------------------|------------------|------------------------------------------------------------------------------|------------------------------------------------|
| Maharashtra      | A (Mumbai, Pune) | Highest claims state due to monsoon flooding and urban density               | Flood claims peak June–September               |
| Tamil Nadu       | A (Chennai)      | Second highest — cyclone season adds to claim load                           | Cyclone and flood claims Nov–Jan               |
| Delhi            | A (Delhi NCR)    | Highest vehicle theft rate in India — comprehensive + NCB Protect. essential | Theft claims year-round                        |
| Karnataka        | A (Bengaluru)    | IT-corridor traffic and pothole damage drive high OD claim frequency         | Pothole and minor accident claims peak May–Oct |
| West Bengal      | A (Kolkata)      | Annual flooding and narrow old-city streets cause unique damage patterns     | Flood and parking scrape claims                |
| Kerala           | B                | Moderate — heavy rainfall but lower vehicle density vs. north India metros   | Rain and landslide claims in monsoon           |
| Gujarat          | A (Ahmedabad)    | High vehicle ownership; expressway accidents on NH-48                        | Highway accident and theft claims              |
| Rajasthan        | B                | Heat-related tyre damage unique to this region                               | Tyre burst and summer breakdown claims         |
| Punjab / Haryana | B                | Highway fatigue accidents; NH-1 and NH-44 high accident stretches            | High-speed accident claims                     |
| Northeast (All)  | B                | Limited garage network — RSA and towing essential                            | Flood and landslide claims                     |
| Jammu & Kashmir  | B                | Himalayan terrain; snowfall damage; border conflict zone provisions          | Winter and terrain-related claims              |

## CHAPTER 18 — GENERAL CONDITIONS AND LEGAL PROVISIONS

### 18.1 Utmost Good Faith

This contract is founded on utmost good faith (*uberrimae fidei*). The Policyholder must disclose all material facts — vehicle modifications, prior accidents, pending legal proceedings, existing damage, and intended use — at proposal, renewal, or endorsement. Non-disclosure may void the policy.

### 18.2 Subrogation

On claim settlement, Acko is subrogated to all rights and remedies of the Insured against any responsible third party. The Insured must cooperate in recovery proceedings and must not take any action prejudicing Acko's subrogation right.

### 18.3 Contribution

If another insurance policy covers the same loss, Acko pays only its proportionate share. All existing policies must be disclosed at time of claim.

### 18.4 Cancellation by Policyholder

7 days written notice required. Premium refund on short-rate basis as per IRDAI table. No refund if claim admitted during policy year.

### 18.5 Cancellation by Acko

15 days written notice. Refund on pro-rata basis. Grounds: fraud, misrepresentation, non-payment of premium.

### 18.6 Fraud

Any fraudulent claim, inflation of repair costs, or collusion with garage: immediate repudiation; policy cancellation; forfeiture of premiums; civil and criminal action under IPC 1860 and Insurance Act 1938.

### 18.7 Grievance Redressal

Escalation path: (1) Acko app complaint; (2) [grievance@acko.com](mailto:grievance@acko.com) — 15 working days; (3) IRDAI IGMS at [igms.irda.gov.in](http://igms.irda.gov.in); (4) Insurance Ombudsman at [cioins.co.in](http://cioins.co.in); (5) Consumer Forum or Civil Court.

### 18.8 Governing Law

Republic of India. Disputes subject to courts at Bengaluru, Karnataka (or Consumer Forum with jurisdiction over the Policyholder's residence).

### 18.9 Data Privacy

Acko processes policyholder data per Information Technology Act 2000 and DPDPA 2023. Health data is sensitive personal data. Data shared only with regulatory authorities and claims-processing partners.

### 18.10 Digital Validity

Digital policy documents issued by Acko are legally valid under the Information Technology Act 2000 and IRDAI electronic policy guidelines. Physical copy is not mandatory.

## CHAPTER 19 — GLOSSARY OF MOTOR INSURANCE TERMS

|                        |                                                                                                              |
|------------------------|--------------------------------------------------------------------------------------------------------------|
| <b>AAI</b>             | Automobile Association of India. Membership qualifies for 5% OD premium discount.                            |
| <b>ARAI</b>            | Automotive Research Association of India. Approves anti-theft devices qualifying for 2.5% OD discount.       |
| <b>BAC</b>             | Blood Alcohol Content. Above 0.03% constitutes DUI under MV Act 2019.                                        |
| <b>Break-In Policy</b> | Policy renewed after expiry date. Requires inspection for OD section. NCB preserved up to 90 days.           |
| <b>CNG</b>             | Compressed Natural Gas alternative fuel. Must be declared; requires CNG endorsement.                         |
| <b>CTL</b>             | Constructive Total Loss. Salvage + repair > IDV. Treated as Total Loss.                                      |
| <b>Deductible</b>      | Amount borne by policyholder per claim = Compulsory Deductible + Voluntary Deductible.                       |
| <b>Endorsement</b>     | Written amendment to the policy changing terms, coverage, or schedule.                                       |
| <b>FIR</b>             | First Information Report. Police document required for theft, TP injury/death claims.                        |
| <b>GIC Re</b>          | General Insurance Corporation of India. Manages Motor Third Party Insurance Pool.                            |
| <b>IDV</b>             | Insured Declared Value. Current market value of the vehicle = Sum Insured for OD section.                    |
| <b>IMT Clauses</b>     | Indian Motor Tariff standard clauses used in Indian motor policies.                                          |
| <b>IRDAI</b>           | Insurance Regulatory & Development Authority of India. Regulates all Indian insurers.                        |
| <b>MACT</b>            | Motor Accidents Claims Tribunal. Adjudicates Third Party injury and death claims. Awards unlimited.          |
| <b>NCB</b>             | No Claim Bonus. OD premium discount for claim-free years: 20% to 50%.                                        |
| <b>NTC</b>             | Non-Traceable Certificate. Police document issued 90 days after theft — required for claim.                  |
| <b>OD</b>              | Own Damage. Policy section covering physical damage to the Insured Vehicle.                                  |
| <b>On-Road Price</b>   | Ex-showroom + road tax + registration + insurance. Relevant for RTI and EV Invoice add-ons.                  |
| <b>RC</b>              | Registration Certificate. Vehicle ownership document from RTO. Must be in vehicle always.                    |
| <b>RSA</b>             | Roadside Assistance add-on. 24x7 emergency breakdown help: towing, fuel, tyre, battery.                      |
| <b>RTI</b>             | Return to Invoice add-on. On total loss/theft, pays original on-road invoice price.                          |
| <b>RTO</b>             | Regional Transport Office. Issues RC, driving licences; enforces MV Act.                                     |
| <b>SAOD</b>            | Stand-Alone Own Damage. OD-only policy introduced by IRDAI in September 2019.                                |
| <b>Surveyor</b>        | IRDAI-licensed loss assessor who inspects and assesses damage for major claims (mandatory above INR 75,000). |
| <b>TP</b>              | Third Party. Mandatory insurance section covering legal liability to third parties.                          |
| <b>UIN</b>             | Unique Identification Number. IRDAI-assigned number confirming a product is IRDAI-approved.                  |
| <b>Zero Dep</b>        | Zero Depreciation add-on. Waives depreciation deductions on replaced parts during claims.                    |

## CHAPTER 20 — CONTACT AND SUPPORT

|                                |                                                                                                          |
|--------------------------------|----------------------------------------------------------------------------------------------------------|
| <b>Registered Office</b>       | Acko General Insurance Ltd., Lotus Corporate Park, Off Western Express Hwy, Goregaon East, Mumbai 400063 |
| <b>Corporate Office</b>        | 36/5 Hustlehub One East, Somasandrapalya, 27th Main Road, HSR Layout, Bengaluru 560102                   |
| <b>Customer Support</b>        | 24x7 via Acko App → Support   Website chat at acko.com                                                   |
| <b>Motor Claims</b>            | claims@acko.com                                                                                          |
| <b>Grievances</b>              | grievance@acko.com   Resolved within 15 working days                                                     |
| <b>Website</b>                 | www.acko.com                                                                                             |
| <b>Mobile App</b>              | Acko — Google Play Store   Apple App Store                                                               |
| <b>Network Garage Locator</b>  | Acko App → My Policy → Find Garage                                                                       |
| <b>IRDAI Consumer Helpline</b> | 155255 (toll-free)   www.igms.irda.gov.in                                                                |
| <b>Insurance Ombudsman</b>     | www.cioins.co.in — offices in 17 cities across India                                                     |
| <b>Consumer Forum</b>          | edaakhil.nic.in — online complaint filing                                                                |

## CHAPTER 21 — VEHICLE SEGMENT GUIDE AND INSURANCE

### 21.1 Hatchback Segment Insurance Guide

| Model Category                           | Typical IDV         | Recommended Add-ons            | Claim Profile                                       |
|------------------------------------------|---------------------|--------------------------------|-----------------------------------------------------|
| Entry hatchbacks (Alto, Tiago, S-Presso) | INR 3.5L – INR 5.5L | Comprehensive + RSA            | Low OD premium; theft risk in urban areas           |
| Mid hatchbacks (Swift, i20, Altroz)      | INR 7L – INR 12L    | Comp + Zero Dep + Engine Prot. | Most popular; parts easily available                |
| Premium hatchbacks (VW Polo, Jazz)       | INR 9L – INR 14L    | Comp + Zero Dep + NCB Prot.    | Imported parts can be expensive; Zero Dep essential |
| Compact SUVs (Nexon, Venue, Sonet)       | INR 10L – INR 16L   | Comp + Zero Dep + Engine Prot. | Turbo engines susceptible to water damage           |

### 21.2 SUV and Premium Segment

- **Mid-Size SUVs (Creta, Seltos, Hector):** 1.4-1.5L turbo engines vulnerable to flood damage. Engine Protection essential. Higher IDV means higher TP premium (above 1,500 cc at INR 7,897). RTI recommended in years 1-2.
- **Full-Size SUVs (Fortuner, Endeavour, Jeep Meridian):** INR 7,897 TP + high OD premium. All major add-ons justified. Authorized service centres may be limited — RSA critical for outstation trips.
- **Luxury Cars (BMW, Mercedes, Audi):** IDV can exceed INR 50 lakhs. Parts from Germany can take weeks. Zero Dep saves lakhs per claim. Dedicated luxury claims team at Acko handles these.

### 21.3 Electric Vehicle Insurance — Model-by-Model Guide

| EV Model             | Battery kWh | IDV Range (New)     | Key Risk                               | Must-Have Add-on    |
|----------------------|-------------|---------------------|----------------------------------------|---------------------|
| Tata Nexon EV Max    | 40.5        | INR 17L – INR 20L   | Battery = 45% of IDV                   | EV Battery Cover    |
| Tata Nexon EV (base) | 30.2        | INR 14L – INR 16L   | Flooding risk in urban areas           | EV + Engine Prot.   |
| MG ZS EV             | 50.3        | INR 20L – INR 23L   | Limited service network in tier-2      | EV + RSA            |
| BYD Atto 3           | 60.5        | INR 33L – INR 36L   | Very high repair cost                  | EV + RTI + Zero Dep |
| Ola S1 Pro           | 3.97        | INR 1.1L – INR 1.4L | Battery degradation in heat            | EV add-on           |
| Ather 450X           | 2.9         | INR 1.5L – INR 1.8L | High performance; accident risk higher | Zero Dep + EV       |
| TVS iQube ST         | 5.1         | INR 1.4L – INR 1.6L | Rural charging infrastructure gap      | EV + RSA            |

EV Battery Damage: Standard OD excludes battery damage from overcharging, deep discharge, manufacturing defect, and thermal runaway. EV battery replacement: INR 3–12 lakhs depending on model. The EV-specific add-on from Acko is non-negotiable for EV owners.

## CHAPTER 22 — NCB SCENARIOS AND STRATEGIC GUIDE

### 22.1 NCB Decision Framework — Should I Claim or Pay Out of Pocket?

The most common dilemma: your car has INR 15,000 in repair damage. Should you file a claim or pay out of pocket to preserve NCB? Here is the framework:

| Your Current NCB | Annual OD Premium | NCB Value (Annual)            | Claim Threshold (Pay OOP if repair below)          |
|------------------|-------------------|-------------------------------|----------------------------------------------------|
| 0% (no bonus)    | INR 20,000        | INR 0 (no NCB to lose)        | Below INR 10,000 — still consider OOP to start NCB |
| 20% (1 year)     | INR 16,000        | INR 4,000/year (going to 0%)  | Below INR 15,000 — pay OOP                         |
| 25% (2 years)    | INR 15,000        | INR 5,000/year (going to 0%)  | Below INR 20,000 — pay OOP                         |
| 35% (3 years)    | INR 13,000        | INR 7,000/year (going to 0%)  | Below INR 28,000 — pay OOP                         |
| 45% (4 years)    | INR 11,000        | INR 9,000/year (going to 0%)  | Below INR 36,000 — pay OOP                         |
| 50% (5+ years)   | INR 10,000        | INR 10,000/year (going to 0%) | Below INR 40,000 — strongly consider OOP           |

Threshold interpretation: If your repair cost is **BELOW** the threshold, paying out of pocket and preserving NCB is financially better. If **ABOVE** threshold, filing a claim is more economical. Always factor in the compulsory deductible too.

### 22.2 NCB Across Multiple Vehicles — What You Need to Know

- If you own 2 cars, each car has its own independent NCB — they do not combine or share.
- If you sell both cars and buy one new car, you can use the NCB certificate from only **ONE** of the sold cars.
- NCB cannot be split or applied proportionately — it is always 100% applicable to the target vehicle.
- Husband and wife each have their own independent NCB — one spouse's NCB cannot be used for the other's vehicle.
- A company's fleet vehicles can each earn their own NCB independently.

CHAPTER 23 — PREMIUM BENCHMARKS AND COMPARISON 2024-25

23.1 Comprehensive Car Insurance Premium Benchmarks (Zone A Metro, No Add-ons)

| Car Model                       | CC      | IDV (New)     | OD Rate    | OD Premium   | TP Premium | Total (ex-GST) |
|---------------------------------|---------|---------------|------------|--------------|------------|----------------|
| Maruti Alto K10 VXI             | 999     | INR 5,22,500  | 2.50%      | INR 13,063   | INR 2,094  | INR 15,157     |
| Hyundai Grand i10 Nios Asta     | 1197    | INR 7,58,750  | 2.60%      | INR 19,728   | INR 2,094  | INR 21,822     |
| Maruti Swift ZXI+ (AMT)         | 1197    | INR 9,39,550  | 2.65%      | INR 24,898   | INR 3,416  | INR 28,314     |
| Hyundai i20 Asta (1.0T IVT)     | 998     | INR 11,21,000 | 2.75%      | INR 30,828   | INR 2,094  | INR 32,922     |
| Mahindra City ZX CVT (1.5L)     | 1498    | INR 14,56,250 | 2.85%      | INR 41,503   | INR 3,416  | INR 44,919     |
| Maruti Seltos X Line DCT (1.5T) | 1482    | INR 17,86,000 | 3.00%      | INR 53,580   | INR 3,416  | INR 56,996     |
| Toyota Fortuner 4x4 (2.8D)      | 2755    | INR 42,75,000 | 2.80%      | INR 1,19,700 | INR 7,897  | INR 1,27,597   |
| Maruti Nexon EV Max (EV)        | N/A kWh | INR 18,99,050 | 2.77% (EV) | INR 52,614   | INR 2,792  | INR 55,406     |
| Maruti Suzuki Swift 1.2L MT     | 1998    | INR 45,60,000 | 2.90%      | INR 1,32,240 | INR 7,897  | INR 1,40,137   |

All premiums are indicative for Zone A (metro) cities. Add 18% GST. NCB applied based on vehicle age shown. Actual premium may differ based on Acko's underwriting model at time of purchase.

23.2 How to Compare Motor Insurance Quotes Accurately

- **Compare same IDV:** Some insurers show lower premium by artificially reducing IDV. Always compare quotes with the SAME IDV value.
- **Compare same add-ons:** A comprehensive quote without add-ons will always be cheaper. Compare with the same set of add-ons selected.
- **Compare same deductible:** Higher voluntary deductible lowers premium — compare with same voluntary deductible (or zero).
- **Check claim settlement ratio:** The insurer's claim settlement ratio reflects how many claims they settle. Higher is better. Acko aims for 95%+ settlement ratio.
- **Check network garage count:** More garages in your city = easier cashless claims. Check Acko app for garages near your home and office.
- **Check TPA vs direct claims:** Acko processes all claims in-house (no TPA for motor) — faster and more transparent than TPA-based claim processes at some larger insurers.



## CHAPTER 24 — ENDORSEMENTS — COMPLETE GUIDE

An endorsement is a formal written amendment to your motor insurance policy. Any mid-year change to the policy requires an endorsement. Here are all common endorsement scenarios:

| Endorsement Type                    | Trigger                             | Premium Impact                           | Process                                         |
|-------------------------------------|-------------------------------------|------------------------------------------|-------------------------------------------------|
| Change of vehicle (same owner)      | New car purchased; old car sold     | Recalculate based on new IDV and details | Cancel old policy; new policy issued            |
| CNG/LPG kit addition                | After-market kit installed          | Small OD loading for fuel risk           | Submit kit certificate; endorsement issued      |
| Address change                      | Moved to new city or state          | Zone change may alter premium            | Update via Acko app → Edit Policy Details       |
| After-market accessory addition     | High-value system installed         | Additional premium on declared value     | Submit invoice; endorsement for accessory cover |
| Change of hypothecation             | Loan transferred to different bank  | Administrative — no premium change       | Bank NOC + new bank details to Acko             |
| Removal of hypothecation            | Loan fully repaid                   | Administrative — no premium change       | Bank NOC confirming loan closure                |
| Correction of errors                | Name, engine/chassis number mistake | No premium change                        | Submit RC copy for correction                   |
| Transfer of ownership               | Car sold to new owner               | TP transfers; OD cancelled for seller    | Form 29/30 + buyer details submitted            |
| Addition of NCB Protection mid-year | If allowed by Acko                  | Pro-rata premium for remaining days      | Request via Acko app                            |
| Addition of RSA mid-year            | Adding breakdown cover mid-year     | Pro-rata premium for remaining days      | Request via Acko app → Add-ons                  |

## CHAPTER 25 — REGULATORY COMPLIANCE AND IRDAI UPDATES 2024-25

## 25.1 Key IRDAI Regulations Affecting Motor Policyholders (2024-25)

### IRDAI Bima Sugam Portal (2024)

IRDAI has been developing Bima Sugam — a unified digital insurance marketplace where policyholders can buy, manage, and claim all insurance products from multiple insurers on a single platform. When fully launched, Acko will be available on Bima Sugam alongside all other IRDAI-registered insurers.

### Revised TP Premium Rates (2024-25)

IRDAI revises Third Party premium rates annually. The rates cited in Chapter 5 reflect 2024-25 rates. Policyholders with long-term TP policies (3-year for cars, 5-year for bikes) are locked into the premium paid at inception and are not affected by annual TP rate revisions during the locked period.

### EV Insurance Incentives (IRDAI 2023)

Following the government's push for EV adoption, IRDAI has mandated that EV TP premiums be set at approximately 15% below equivalent ICE vehicle rates. For electric two-wheelers, a flat rate of INR 687/year applies regardless of motor output. These incentives are expected to be maintained or enhanced through 2025.

### Motor OD Detariffication (Ongoing)

Own Damage premium rates have been market-determined (de-tariffed) since 2007. This allows Acko to price OD premiums based on its own actuarial assessment of risk — enabling more accurate pricing and potentially better rates for low-risk policyholders.

### IRDAI Motor Insurance Reform (2023)

IRDAI issued comprehensive motor insurance product guidelines in 2023 standardising policy wordings, mandating coverage for certain risks that were previously ambiguous, and strengthening policyholder protections for claim disputes.

## 25.2 Your Rights During Claim Disputes

- **Right to survey report:** Acko must provide a copy of the surveyor's report on request. If you disagree with the survey findings, you can submit counter-evidence.
- **Right to second survey:** If you dispute the claim settlement amount, you can request IRDAI to appoint an independent second surveyor. Cost borne by Acko.
- **Right to interest on delayed settlement:** If Acko exceeds the IRDAI-mandated settlement timeline (30 days for undisputed claims), you are entitled to interest at 2% above bank rate on the delay period.
- **Right to Insurance Ombudsman review:** Binding arbitration for disputes up to INR 30 lakhs — free of charge. Acko must comply with the Ombudsman's award.
- **Right to Consumer Forum:** For disputes above INR 30 lakhs or if Ombudsman resolution is unsatisfactory, Consumer Disputes Redressal Commission provides an alternative legal avenue.

## CHAPTER 26 — MOTOR INSURANCE FAQs — ADVANCED

### Q What is the difference between Garaging the vehicle and using it on the road in insurance terms?

A For insurance purposes, the vehicle is covered 24x7 while in India — whether parked, garaged, or on the road. Damage while the vehicle is parked in your compound (fire, flood, falling tree) is covered. Damage while being driven is covered. The one exception: if you specifically park in a high-risk area against local advisory (e.g., parking in a known flood zone when flood warnings are active), claim assessment may consider this.

### Q Does racing my car on a private track void my insurance?

A Yes. Racing on any track — public or private — voids motor insurance coverage for any accident occurring during the racing event. The policy specifically excludes use for racing, pace-making, reliability trials, or speed testing. Even a single track day event without timing constitutes racing for insurance purposes. If you wish to take your car to a track, consider dedicated motorsport insurance available from specialist providers.

### Q Can I use my comprehensive car insurance if someone else drives my car?

A Yes — the standard Comprehensive motor insurance policy covers the vehicle regardless of who is driving, provided the driver holds a valid driving licence for the vehicle class. This is called Any Authorised Driver cover. Some policies may restrict this to specific named drivers — check your Policy Schedule. If a person drives your car without your permission (theft), that is covered separately under the theft clause.

### Q What if my car is damaged while being repaired at a garage?

A If your car is damaged while in the custody of a garage for routine maintenance or repair — for example, a workshop fire damages the car — the liability falls on the garage under Bailment law (Section 151-155 of the Indian Contract Act). Acko may help you navigate this, but your own OD policy is not designed to cover damage while the vehicle is in the custody of a third party. Some Acko policies include garage liability cover — check your Policy Schedule.

### Q Does my insurance cover a windshield chip or crack?

A Yes — windshield damage (chip, crack, or complete breakage from accident, road debris, or vandalism) is covered under the OD section. Windshield glass has Nil depreciation (no deduction). The compulsory deductible still applies. If you have Zero Dep add-on, full replacement cost is covered. Pro tip: windshield claims are relatively small (INR 5,000–25,000 typically) — consider paying out of pocket to preserve your NCB, unless you are at 0% NCB already.

## MOTOR — COMPREHENSIVE ADDITIONAL REFERENCE

### Part I — Exclusion Scenarios Explained With Examples

#### Scenario: Wear and Tear Example

Your 7-year-old Maruti Swift's engine suddenly stops because the timing chain, worn over years of use, snapped. The repair costs INR 45,000. Is this covered? NO — timing chain failure from wear-and-tear is a mechanical breakdown, not an accident. Standard OD excludes gradual deterioration. The Engine and Gearbox Protection add-on also does NOT cover mechanical failure unrelated to an accident or flood ingress. This is a maintenance responsibility. Tip: Timely servicing (every 10,000 km or 1 year) prevents most mechanical failures.

#### Scenario: DUI Exclusion Example

A policyholder has a party, drinks 4 pegs of whisky, drives home, and has an accident that damages their car (INR 80,000 repair) and the divider (INR 15,000 damage). Police breathalyser test shows 0.07% BAC — above the legal 0.03% limit. Result: OD claim REJECTED (DUI exclusion applies). TP claim for divider also REJECTED. Policyholder bears all costs personally — INR 95,000 out of pocket. Additionally, they face criminal charges under MV Act. No insurance claim is possible when the driver was legally intoxicated.

#### Scenario: Racing Exclusion Example

A car owner takes their modified hatchback to a private airstrip for an organized drag racing event. The car loses control at high speed and is badly damaged — total repair cost INR 3.5 lakhs. The owner files an OD claim citing "accidental damage." Acko's investigation (CCTV footage, accident report, event registration) reveals the racing event context. Claim REJECTED under the Racing and Speed Testing exclusion. The exclusion applies regardless of whether the location is public or private.

#### Scenario: Outside India Exclusion Example

An Indian couple drives their car from Bengaluru to Nepal for a vacation. In Kathmandu, the car is involved in a collision with a rickshaw — repair cost equivalent to INR 1.2 lakhs. They file an OD claim with Acko. Result: Claim REJECTED — vehicle was outside India at the time of the accident, which is excluded unless a specific International Use endorsement was obtained before the trip. Always request the Nepal/Bhutan/Sri Lanka endorsement from Acko before driving across the border.

### Part II — Depreciation Calculation Worked Example (Without Zero Dep)

Scenario: A 2-year-old Honda City meets with an accident. The following parts need replacement/repair. Policy: Comprehensive without Zero Depreciation. Compulsory Deductible: INR 1,000.

| Part               | Type              | Labour Cost | Part Cost         | Depreciation % | Depreciation Deduction | Admissible Amount |
|--------------------|-------------------|-------------|-------------------|----------------|------------------------|-------------------|
| Front bumper       | Plastic — replace | INR 2,000   | INR 8,500         | 50% on part    | INR 4,250              | INR 6,250         |
| Left door          | Metal — repair    | INR 3,500   | N/A (repair only) | Nil            | INR 0                  | INR 3,500         |
| Windshield         | Glass — replace   | INR 1,500   | INR 12,000        | Nil on glass   | INR 0                  | INR 13,500        |
| Headlight assembly | Plastic — replace | INR 1,000   | INR 9,000         | 50% on part    | INR 4,500              | INR 5,500         |
| Right fender       | Metal — repair    | INR 2,500   | N/A               | Nil            | INR 0                  | INR 2,500         |
| Hood (bonnet)      | Metal — repair    | INR 1,800   | N/A               | Nil            | INR 0                  | INR 1,800         |

|                |          |            |                          |                    |            |            |
|----------------|----------|------------|--------------------------|--------------------|------------|------------|
| ull body paint | Painting | INR 0      | INR 15,000<br>(material) | 50% on<br>material | INR 7,500  | INR 7,500  |
| TOTAL          |          | INR 12,300 | INR 44,500               |                    | INR 16,250 | INR 40,550 |

| Summary Item                     | Amount                                                                                       |  |
|----------------------------------|----------------------------------------------------------------------------------------------|--|
| Amount (before deductible)       | INR 40,550                                                                                   |  |
| ry Deductible                    | INR 1,000                                                                                    |  |
| Deductible (if chosen INR 2,500) | INR 2,500                                                                                    |  |
| n voluntary deductible)          | INR 37,050                                                                                   |  |
| hout voluntary deductible)       | INR 39,550                                                                                   |  |
| active: Depreciation waived      | INR 16,250 additional (total payout INR 39,550 + INR 16,250 = INR 55,800 before deductibles) |  |

## Part III — Motor Vehicle Inspection for Insurance Purposes

Vehicle inspection is required in two main situations: (1) Break-in policy renewal (lapsed policy); (2) For vehicles insured for the first time with Acko without a prior policy transfer.

| Inspection Type                | When Required                               | Who Conducts                               | What is Checked                                          | How Long                    |
|--------------------------------|---------------------------------------------|--------------------------------------------|----------------------------------------------------------|-----------------------------|
| Self-inspection (App)          | New policies for vehicles below 5 years     | Policyholder via Acko app photo upload     | 6 photos: front, rear, both sides, odometer, RC          | 10 minutes via app          |
| Physical inspection (minor)    | Break-in renewal (short lapse)              | Acko-empanelled inspector at your location | Visual inspection of body, engine compartment, documents | 30–45 minutes               |
| Physical inspection (detailed) | Break-in over 30 days; high-value vehicles  | Licensed surveyor from Acko panel          | Full condition assessment; pre-existing damage noted     | 1–2 hours                   |
| Agreed value inspection        | Vintage/classic vehicles; modified vehicles | Specialist valuer approved by Acko         | Market value assessment; modification assessment         | Variable                    |
| Survey for total loss          | After major accident — TL determination     | IRDAI-licensed surveyor                    | Repair cost estimation vs IDV; salvage value             | 24–48 hours from intimation |

Key point about self-inspection: Any pre-existing damage visible in the 6 photos must be declared. If undisclosed pre-existing damage is later claimed, Acko can reject that portion of the claim.

## Part IV — Special Motor Insurance Scenarios

### Driving School Vehicles:

Vehicles used for learner-driver training have a unique risk profile — they are driven by unlicensed learners under supervision. Standard private car insurance does NOT cover driving school use. Driving schools must purchase commercial vehicle insurance with a specific driving school endorsement. If you are a private individual teaching your family member to drive in your own car: this is permissible; the learner must have a valid learner's licence; a qualified licence holder must be in the passenger seat; your standard policy covers this use.

### Classic Car Rallies and Vintage Events:

Participating in a Heritage Motoring event, a classic car rally, or an FMSCI-permitted vintage car event is covered under a standard comprehensive policy — these events are NOT classified as racing. The key distinction: timed speed events = racing (excluded); heritage/vintage rallies focusing on navigation, reliability, and concours = permitted use (covered). Always confirm with Acko before a specific event to ensure the specific event type is covered.

### Rideshare and App-Based Taxi:

Operating your private car on Ola or Uber is commercial use — not covered by personal motor insurance. This is one of the most common coverage gaps. The gig economy has created millions of vehicle owners using personal insurance for commercial vehicles. If you drive for any app-based platform: (a) Obtain a yellow board (commercial) registration or appropriate state transport permit; (b) Switch to commercial vehicle insurance; (c) Alternatively: some platforms offer fleet insurance that covers their registered driver-partners — check your Ola/Uber driver agreement for insurance provisions.

### Test Drives of Vehicles for Purchase:

If you are test-driving a vehicle at a dealership: the dealer's showroom insurance typically covers test drive accidents. The dealer assumes liability during test drives (you are in their custody). If you are test-driving a privately-sold vehicle: the seller's insurance covers the vehicle. As the test driver without insurance on that vehicle, any accident may create personal TP liability for you. Take test drives at proper dealerships, not on public roads without supervision.

Part V — NCB History and Complete Reference

| Year                                 | NCB %         | Example: OD Base INR 20,000            | Annual Premium (OD only) | Cumulative Saving vs Year 1 |
|--------------------------------------|---------------|----------------------------------------|--------------------------|-----------------------------|
| Year 1 (new policy or post-claim)    | 0%            | $\text{INR } 20,000 \times (1 - 0\%)$  | INR 20,000               | INR 0                       |
| Year 2 (1 claim-free year)           | 20%           | $\text{INR } 20,000 \times (1 - 20\%)$ | INR 16,000               | INR 4,000                   |
| Year 3 (2 claim-free years)          | 25%           | $\text{INR } 20,000 \times (1 - 25\%)$ | INR 15,000               | INR 9,000                   |
| Year 4 (3 claim-free years)          | 35%           | $\text{INR } 20,000 \times (1 - 35\%)$ | INR 13,000               | INR 16,000                  |
| Year 5 (4 claim-free years)          | 45%           | $\text{INR } 20,000 \times (1 - 45\%)$ | INR 11,000               | INR 24,000                  |
| Year 6+ (5+ claim-free years)        | 50% (maximum) | $\text{INR } 20,000 \times (1 - 50\%)$ | INR 10,000               | INR 34,000+                 |
| 1 OD claim in Year 6                 | Resets to 0%  | $\text{INR } 20,000 \times (1 - 0\%)$  | INR 20,000               | Accumulated NCB lost        |
| With NCB Protection: claim in Year 6 | Stays at 50%  | $\text{INR } 20,000 \times (1 - 50\%)$ | INR 10,000               | NCB preserved               |

Over 6 years of claim-free driving, a policyholder with INR 20,000 OD base premium saves INR 34,000 in cumulative NCB discounts — equivalent to almost 2 years of free OD cover. Protecting this NCB is the single most important motor insurance financial decision a policyholder can make.

## COMPREHENSIVE CONTACT DIRECTORY

All contact channels for Acko General Insurance Limited — motor and health insurance:

| Contact Type                | Details                                         | When to Use                                         |
|-----------------------------|-------------------------------------------------|-----------------------------------------------------|
| Acko App — Motor Claims     | My Policies → Select motor policy → File Claim  | First step for all motor claims — 24x7              |
| Acko App — Health Claims    | My Policies → Select health policy → File Claim | First step for health pre-auth and claims — 24x7    |
| Acko App — Renewal          | My Policies → Renew Policy                      | For policy renewal — 24x7 self-service              |
| Acko App — Documents        | My Policies → View / Download Policy            | Policy documents, certificates, NCB certificate     |
| Acko App — Support          | My Account → Support → Chat                     | General queries — AI chatbot + human agent          |
| Motor Claims Email          | claims@acko.com                                 | For complex motor claim documentation submission    |
| Health Claims Email         | healthclaims@acko.com                           | For health claim queries and pre-auth follow-up     |
| General Enquiries           | hello@acko.com                                  | Policy queries, endorsements, general help          |
| Grievances (Motor)          | grievance@acko.com                              | Formal complaints — response in 15 working days     |
| Grievances (Health)         | grievance@acko.com                              | Formal complaints — response in 15 working days     |
| Acko Website                | www.acko.com                                    | Full product information, policy management, claims |
| Network Garage Locator      | Acko app → Find Garage OR acko.com/garages      | Before taking car for cashless repair               |
| Network Hospital Locator    | Acko app → Find Hospital OR acko.com/hospitals  | Before planned cashless hospitalisation             |
| IRDAI Consumer Helpline     | 155255 (toll-free)                              | For regulatory guidance, IGMS complaint filing      |
| IRDAI IGMS Portal           | igms.irda.gov.in                                | Escalate unresolved Acko grievances to regulator    |
| Insurance Ombudsman         | www.cioins.co.in — 17 offices across India      | Independent dispute resolution — free service       |
| Consumer Forum (Online)     | edaakhil.nic.in                                 | For disputes above INR 30 lakhs or post-Ombudsman   |
| NABH Hospital Accreditation | www.nabh.co                                     | Verify hospital's NABH accreditation status         |



## CHAPTER 21 — MOTOR INSURANCE MYTHS AND FACTS

Many policyholders hold incorrect beliefs that lead to poor decisions. This chapter corrects the 20 most common motor insurance myths in India.

### Myth 1: Comprehensive insurance covers everything.

FACT: It does NOT cover: mechanical breakdown not from an accident; personal items stolen from the vehicle; depreciation on replaced parts (without Zero Dep); consequential losses (hotel bills, lost income during repairs); DUI damage; racing use; damage outside India.

### Myth 2: Wear and tear is covered under OD.

FACT: Wear and tear — tyre wear, rusting, corrosion, brake pad wear, engine oil degradation — is explicitly excluded from all motor policies. Insurance covers sudden accidental damage from insured perils only.

### Myth 3: Selling my car transfers my insurance.

FACT: Only the TP section transfers to the buyer. Your OD section and NCB remain yours. You must: cancel OD and claim pro-rata refund; get an NCB certificate (valid 90 days) for your next vehicle. The buyer must buy fresh OD insurance.

### Myth 4: Higher IDV is always better.

FACT: While higher IDV gives better total loss payout, it also means higher premium. IDV above actual market value means overpaying. Set IDV closest to the current resale value — not the original purchase price.

### Myth 5: A small claim is fine — it wont affect my premium much.

FACT: Even one OD claim resets NCB to zero at renewal. Losing 50% NCB on a INR 20,000 OD premium costs INR 10,000 extra annually. For repairs under INR 10,000-15,000, paying out of pocket to protect NCB is often financially smarter.

### Myth 6: Cashless means I pay nothing at the garage.

FACT: You still pay: compulsory deductible (INR 1,000-2,000 for cars); voluntary deductible if chosen; depreciation on parts without Zero Dep; consumables unless Consumables Cover is active; upgrade charges for better spare parts.

### Myth 7: Phone and laptop stolen from my car are covered.

FACT: Personal items stolen from inside the vehicle (without the vehicle being stolen) are explicitly excluded from all motor policies. You need home contents insurance or a standalone valuables policy.

### Myth 8: Third Party claims dont affect me at all.

FACT: TP claims do not affect NCB, but have other implications: MACT hearings require your cooperation; if the driver is found negligent, the case can be protracted; high TP awards in death cases run into crores.

### Myth 9: I dont need insurance for a garaged car.

FACT: Even a garaged car faces risks: theft from the garage; fire from electrical fault; flood damage if the garage is waterlogged; damage during moving the car; accidental self-ignition. TP insurance is also legally mandatory even for a parked car.

### Myth 10: NCB is tied to my car.

FACT: NCB belongs to the policyholder — not the vehicle. Sell your car and buy a new one? Your NCB transfers via an NCB certificate. It can even be transferred to a different make and model.

**Myth 11: Engine Protection is only for SUVs.**

FACT: Any car with a low air intake — most hatchbacks and sedans — is vulnerable to water ingress in flooded roads. Hatchbacks like the Maruti Swift, Hyundai i20, and Honda Jazz have historically suffered hydrostatic lock in Mumbai and Chennai flooding. Engine Protection is recommended for ALL vehicles in flood-prone cities.

**Myth 12: I can hide the CNG kit and still claim.**

FACT: Installing a CNG kit without declaring it is material non-disclosure. A fire or explosion claim will involve investigation of the fuel system. Undisclosed CNG kit = claim rejection + policy cancellation. Declare it — the additional premium is minimal (typically INR 200-500 per year).

## CHAPTER 22 — MOTOR INSURANCE BUYING AND COMPARISON GUIDE

### 22.1 Choosing the Right Policy by Your Situation

| Your Situation                             | Recommended Policy                      | Key Add-ons                                 |
|--------------------------------------------|-----------------------------------------|---------------------------------------------|
| New car (0-1 year)                         | Comprehensive — mandatory if under loan | Zero Dep, RTI, Engine Protection, RSA       |
| Car 1-3 years old                          | Comprehensive                           | Zero Dep, Engine Protection, NCB Protection |
| Car 3-5 years old                          | Comprehensive                           | Zero Dep (if high value), Engine Protection |
| Car above 5 years — value under INR 3 lakh | TP Only or basic Comprehensive          | RSA only                                    |
| Car under bank loan                        | Comprehensive — bank mandates this      | Zero Dep, RTI                               |
| Highway commuter                           | Comprehensive + RSA                     | RSA, Zero Dep, Tyre Protection              |
| New electric vehicle                       | Comprehensive + EV Add-on               | EV Invoice Cover, Zero Dep                  |
| Royal Enfield / superbike                  | Comprehensive                           | Zero Dep, Tyre Protection, Pillion PA       |
| Delivery scooter                           | Comprehensive — declare commercial use  | RSA, basic add-ons                          |

### 22.2 Add-On Decision Framework

| Add-On              | Buy If                                       | Skip If                            | Typical Cost/Year |
|---------------------|----------------------------------------------|------------------------------------|-------------------|
| Zero Depreciation   | Car under 5 years, value over INR 4 lakh     | Car over 5 years or very low IDV   | INR 2,000-8,000   |
| Engine Protection   | Flood-prone city — Mumbai, Chennai, Kolkata  | Rural/highlands — no flooding risk | INR 1,500-5,000   |
| Roadside Assistance | Highway traveller, long daily commute        | City driving only, near garages    | INR 799-1,499     |
| Return to Invoice   | Car under 3 years, new purchase              | Car over 3 years — IDV gap narrows | INR 2,000-6,000   |
| NCB Protection      | NCB is at 35% or above — too costly to reset | New policy, NCB is 0%              | INR 800-2,000     |
| Tyre Protection     | Pothole-heavy roads — Bengaluru, Gurugram    | Smooth highways only               | INR 600-1,800     |
| EV Add-on           | Electric vehicle owner                       | ICE vehicle only                   | INR 3,000-8,000   |

### 22.3 Comparing Acko vs Traditional Insurers

| Feature                | Acko (Digital-First)               | Traditional Insurer                       |
|------------------------|------------------------------------|-------------------------------------------|
| Policy Purchase        | Instant online — 5 minutes         | Agent visit or branch — 1-3 days          |
| Agent Commission       | Zero — savings passed to customer  | 15-25% commission added to premium        |
| Policy Document        | Instant digital — app and email    | Physical dispatch — 7-10 days             |
| Minor Claim Settlement | AI-assessed — 60 minutes to 3 days | Survey visit required — 5-15 days         |
| Garage Network         | 5,500+ cashless garages            | Varies — 1,000-8,000 depending on insurer |

|                         |                                     |                                         |
|-------------------------|-------------------------------------|-----------------------------------------|
| Vehicle Pickup/Delivery | Free in eligible metro cities       | Not available                           |
| Claim Tracking          | Real-time app + WhatsApp updates    | Phone calls to customer care            |
| Renewals                | Auto-reminder + 1-click renewal     | Agent reminder — possible lapse risk    |
| Premium                 | Up to 25-30% lower (no commissions) | Full premium including agent commission |

## CHAPTER 23 — POLICYHOLDER RIGHTS AND IRDAI PROTECTIONS

As an Acko motor insurance policyholder, you have significant statutory rights guaranteed by IRDAI regulations and the Consumer Protection Act, 2019.

### Right to Claim Settlement Within Defined Timelines

IRDAI mandates: undisputed claims settled within 30 days of complete documents; disputed claims — dispute communicated within 30 days with written reasons; independent expert appointed within 45 days for technical disputes. Delayed settlement: Acko must pay interest at 2% above the prevailing bank rate on the delayed claim amount.

### Right to Surveyor Report

If a physical survey is conducted on your vehicle, you are entitled to receive a copy of the surveyor's assessment report. If you disagree with the surveyor's findings, you may formally request Acko to appoint a second independent surveyor (IRDAI-licensed) at Acko's expense for a second opinion.

### Right to Written Claim Rejection

Any partial or full claim rejection must be communicated in writing stating: (a) the specific reason for rejection; (b) the exact policy clause or exclusion cited; (c) information about your right to appeal and the grievance redressal mechanism. Verbal rejections are not valid.

### Right to Escalate Grievances

Four-tier escalation: (1) Acko internal — [grievance@acko.com](mailto:grievance@acko.com) — 15 working days; (2) IRDAI IGMS — [igms.irda.gov.in](http://igms.irda.gov.in); (3) Insurance Ombudsman — [cioins.co.in](http://cioins.co.in) — for claims up to INR 30 lakhs; (4) Consumer Disputes Redressal Commission or Civil Court for higher claims or service deficiency compensation.

### Right to Policy Cancellation and Pro-Rata Refund

You can cancel your policy at any time with 7 days written notice. Refund on short-rate basis (partial penalty for early cancellation as per IRDAI table). If Acko cancels — 15 days notice required and refund on full pro-rata basis (no penalty).

### Right Against Misleading Add-On Sales

Acko and its partners cannot misrepresent the scope of add-on covers. If an add-on was sold with a material misrepresentation (e.g., claiming Zero Dep covers tyre damage when it does not), you can raise a complaint with IRDAI. Mis-selling of insurance products is a punishable offence under the Insurance Act, 1938.

### Right to Consumer Forum Compensation

Beyond the claim amount, Consumer Disputes Redressal Commissions can award compensation for mental agony, harassment, and legal costs if Acko is found to have been deficient in service. This is in addition to the actual claim amount — not instead of it.

## CHAPTER 24 — ELECTRIC VEHICLE INSURANCE — DEEP DIVE

### 24.1 EV vs ICE Motor Insurance — Key Differences

| Parameter           | ICE Vehicle                                        | Electric Vehicle                                      |
|---------------------|----------------------------------------------------|-------------------------------------------------------|
| TP Premium          | Standard IRDAI rates by engine CC                  | ~15% lower — IRDAI EV incentive                       |
| IDV Calculation     | Ex-showroom minus depreciation                     | Includes EV battery pack in IDV (30-50% of cost)      |
| Battery Damage      | Not applicable                                     | EV Add-on required for electrical faults              |
| Charging Equipment  | Not applicable                                     | Home charger and cables covered as declared accessory |
| Repair Network      | 5,500+ garages nationwide                          | Authorised EV service centres — expanding             |
| Zero Dep            | Available up to 5 years                            | Available up to 5 years; battery handled separately   |
| Invoice Cover (RTI) | Available up to 3 years                            | EV Invoice Cover — up to 5 years                      |
| Monsoon Risk        | Engine hydrostatic lock — Engine Protection Add-on | Battery water damage — EV Add-on required             |

### 24.2 Popular EV Models — Insurance Notes

| Model                     | Segment          | Key Insurance Consideration                              |
|---------------------------|------------------|----------------------------------------------------------|
| Tata Nexon EV / Punch EV  | Compact SUV      | Best EV service network in India — smooth claims         |
| MG ZS EV / MG Windsor     | Mid SUV          | Imported tech — parts import delays possible             |
| Kia EV6 / Hyundai Ioniq 5 | Premium SUV      | Very high IDV — EV Invoice Cover strongly recommended    |
| BYD Atto 3 / Seal         | Premium SUV      | Limited service centres — RSA is essential for towing    |
| Ola S1 Pro / Air          | Electric Scooter | OTA software updates — ensure policy covers hardware too |
| Ather 450X / Rizta        | Electric Scooter | Premium pricing — battery replacement cost is high       |
| TVS iQube / X             | Electric Scooter | Well-established TVS service network in south India      |
| Hero Vida V1              | Electric Scooter | Pan-India Hero service network — good claim support      |

### 24.3 EV-Specific Claim Scenarios and Coverage

| Scenario                                        | Standard OD                | With EV Add-on |
|-------------------------------------------------|----------------------------|----------------|
| Body damage in collision                        | Covered                    | Covered        |
| Battery damage in collision (mechanical impact) | Covered as part of vehicle | Covered        |
| Battery thermal runaway — manufacturing defect  | Excluded                   | Covered        |
| Water ingress in battery — flood                | Excluded (standard)        | Covered        |
| Overcharging damage to battery                  | Excluded                   | Covered        |
| Deep discharge battery failure                  | Excluded                   | Covered        |

|                                   |                          |                                     |
|-----------------------------------|--------------------------|-------------------------------------|
| Charging cable fire at home       | Home insurance territory | Covered if declared accessory       |
| Total loss — IDV gap from invoice | IDV only                 | EV Invoice Cover pays on-road price |

## CHAPTER 25 — MONSOON SEASON MOTOR INSURANCE GUIDE

India's monsoon season (June-September) generates the highest motor insurance claim volumes of the year. This chapter provides a comprehensive action guide.

### 25.1 Pre-Monsoon Preparation Checklist

| Check               | Action Required                               | Consequence of Not Checking                                    |
|---------------------|-----------------------------------------------|----------------------------------------------------------------|
| Policy coverage     | Verify Engine Protection Add-on is active     | Engine hydrostatic lock claim rejected — INR 1-5 lakh loss     |
| Policy expiry       | Ensure policy does not lapse June-September   | No TP coverage — illegal to drive; no OD coverage              |
| Tyre tread depth    | Replace if below 1.6 mm                       | Hydroplaning — accident risk; claim may cite driver negligence |
| Wiper blades        | Replace if streaking or chattering            | Poor visibility in downpour — accident risk                    |
| Battery terminals   | Clean corrosion; check water level            | Short circuit from flood water reaching battery                |
| Air intake location | Know where your air intake is on your vehicle | Hydrostatic lock risk when entering floodwater                 |
| RSA number          | Save Acko RSA number in phone contacts        | Delays in getting help when stranded                           |

### 25.2 During Flooding — Do's and Don'ts

#### DO:

- Turn around immediately if road ahead is flooded — you cannot judge depth visually.
- Use RSA if your vehicle stalls in water. Call immediately — do not wait for water to recede.
- Take photos of vehicle in flooded location before moving — essential claim evidence.
- Keep windows partially open while approaching uncertain water to allow escape if water rises rapidly.

#### DO NOT:

- Attempt to drive through floodwater regardless of vehicle ground clearance.
- Restart the engine after it stalls in water — this causes INR 1-5 lakh engine damage.
- Push-start or tow with wheels on ground if underbody damage is suspected.
- Begin any repairs before Acko surveyor has inspected — claim may be partially rejected.

### 25.3 Post-Flood Claim Steps — Time Is Critical

1. Register claim on Acko app immediately — do not wait for water to recede completely.
2. Call Acko RSA for towing — do NOT drive or attempt to restart a flood-affected vehicle.
3. Photograph the vehicle in situ — show waterline on the door, flood surroundings, road markings.
4. At the garage: request full inspection before any repair authorisation. Garage must document all damage.
5. Do not authorise repair until Acko surveyor completes inspection and issues written approval.
6. Submit FIR or Disaster Management Authority notification if the area was under a declared flood emergency — strengthens claim documentation.



## CHAPTER 26 — ACKO DIGITAL CLAIMS TECHNOLOGY

Acko is India's first insurer to deploy computer vision AI for motor claims assessment at scale. This chapter explains how it works and how to use it effectively.

### 26.1 How Acko's AI Claims Assessment Works

- **Computer Vision Training:** Acko's AI is trained on millions of labeled vehicle damage images covering all popular Indian car and bike models. It can identify: damaged panels and components; damage severity (minor/moderate/severe/total loss); repair vs. replacement recommendation; estimated cost ranges.
- **Guided Photo Capture:** The Acko app shows you exactly which photos to take with visual templates. Minimum 6 photos: front, rear, driver side, passenger side, damage close-up, and dashboard/odometer. The app rejects blurry or poorly lit photos.
- **Minor Claim AI Decision:** For single-panel minor damage (dents, scratches, windshield, single bumper) — the AI can approve and issue garage authorisation within 30-60 minutes. Significantly faster than the traditional 24-48 hour physical survey.
- **Human Escalation Triggers:** AI escalates to human specialists when: damage value exceeds defined threshold; multiple panels damaged; total loss suspected; photos are inconsistent with incident description; fraud patterns are detected.
- **Fraud Prevention:** The AI analyses photo metadata (GPS location, timestamp) and damage pattern consistency against the reported incident. Inconsistencies trigger mandatory human review and physical inspection.

### 26.2 Tips for Effective Claim Photo Upload

| Photo Type                     | How to Take It Effectively                                  | Why It Matters                                        |
|--------------------------------|-------------------------------------------------------------|-------------------------------------------------------|
| Front wide angle               | Stand 3-4m from front. Full car visible. Good lighting.     | Establishes vehicle identity and overall front damage |
| Rear wide angle                | Same distance from rear. Number plate visible.              | Establishes registration and rear condition           |
| Driver side wide               | Full side profile. Low angle shows underbody if damaged.    | Full side damage visibility                           |
| Passenger side wide            | Same as driver side.                                        | Full passenger side visibility                        |
| Damage close-up                | Stand 50-80cm from damage. Fill the frame. Multiple angles. | AI reads damage severity from close-ups               |
| Dashboard/Odometer             | Engine on — odometer reading visible. Date/time on display. | Validates mileage; cross-references with policy       |
| Accident scene (if safe)       | Wide shot showing road, other vehicles, surroundings.       | Validates incident description; helps with TP claims  |
| Other vehicle (if TP involved) | Registration plate clearly visible. Damage documented.      | Essential for Third Party claims                      |

## APPENDIX A — IRDAI MOTOR PREMIUM RATES AND DISCOUNT SCHEDULE

### A.1 Third Party Premium Rates — IRDAI Circular (Reference 2024-25)

| Vehicle Category          | Capacity                | Annual TP Premium (INR) | GST 18%       | Total TP Payable |
|---------------------------|-------------------------|-------------------------|---------------|------------------|
| Private Car               | Up to 1,000 cc          | 2,094                   | 377           | 2,471            |
| Private Car               | 1,001-1,500 cc          | 3,416                   | 615           | 4,031            |
| Private Car               | Above 1,500 cc          | 7,897                   | 1,421         | 9,318            |
| Electric Car              | All kW outputs          | ~15% below ICE          | Proportionate | Approx 15% lower |
| Two-Wheeler               | Up to 75 cc             | 538                     | 97            | 635              |
| Two-Wheeler               | 75 cc to 150 cc         | 714                     | 129           | 843              |
| Two-Wheeler               | 150 cc to 350 cc        | 1,366                   | 246           | 1,612            |
| Two-Wheeler               | Above 350 cc            | 2,804                   | 505           | 3,309            |
| Electric Two-Wheeler      | All outputs             | 687                     | 124           | 811              |
| Three-Wheeler (Passenger) | Up to 1,000 cc (public) | 2,539                   | 457           | 2,996            |
| Three-Wheeler (Passenger) | Above 1,000 cc (public) | 3,598                   | 648           | 4,246            |
| Three-Wheeler (Goods)     | All capacities          | 1,234                   | 222           | 1,456            |

### A.2 OD Discount Schedule — Voluntary Deductible

| Voluntary Deductible Chosen | OD Premium Discount         |
|-----------------------------|-----------------------------|
| INR 2,500                   | 5% of OD premium            |
| INR 5,000                   | 10% of OD premium           |
| INR 7,500                   | 15% of OD premium           |
| INR 10,000                  | 20% of OD premium           |
| INR 12,500                  | 22% of OD premium           |
| INR 15,000                  | 25% of OD premium (maximum) |

### A.3 OD Discounts — Membership and Device Discounts

| Discount Type                                | Discount Rate        | Eligibility Condition                               |
|----------------------------------------------|----------------------|-----------------------------------------------------|
| ARAI-Approved Anti-Theft Device              | 2.5% on OD premium   | Certificate from authorised fitment centre required |
| Automobile Association of India (AAI) Member | 5% on OD premium     | Valid AAI membership certificate required           |
| Vintage Vehicle (>25 years)                  | By mutual agreement  | Assessed by specialist surveyor                     |
| Electric Vehicle TP Discount                 | ~15% on TP premium   | Vehicle must be a pure electric vehicle             |
| Voluntary Deductible (as above)              | 5%-25% on OD premium | Chosen at policy inception — not mid-term           |

## APPENDIX B — MOTOR INSURANCE FORMS AND DOCUMENTS

### B.1 Key Statutory Forms for Motor Insurance Claims

| Form                             | Purpose                                                            | When Required                                  |
|----------------------------------|--------------------------------------------------------------------|------------------------------------------------|
| Form 28 (Notice of Transfer)     | Notice by registered owner to the insurer of transfer of ownership | On sale/transfer of the Insured Vehicle        |
| Form 29 (Transfer of Ownership)  | Application to RTO for transfer of registration                    | On sale of vehicle — submitted to RTO          |
| Form 30 (Intimation of Transfer) | Intimation by buyer to RTO of completed transfer                   | After Form 29 processed                        |
| FIR Copy                         | Evidence of accident or theft with police                          | Theft claims; TP injury/death; major accidents |
| Non-Traceable Certificate (NTC)  | Police confirmation of unrecovered stolen vehicle                  | Theft claims — after 90 days of FIR            |
| RC (Registration Certificate)    | Proof of vehicle ownership and registration                        | All claims — mandatory document                |
| Driving Licence                  | Proof of valid licence to drive the vehicle class                  | All claims — mandatory document                |
| Claim Form (Digital)             | Official claim registration — submitted via Acko app               | All claims — mandatory first step              |
| NOC from Financier               | Consent from bank/NBFC for transfer of hypothecated vehicle        | Theft total loss when vehicle under loan       |

### B.2 Claims Documentation Best Practice

- Keep a photographed copy of your RC, driving licence, and insurance certificate in Google Photos or iCloud — accessible even if the physical documents are damaged in an accident.
- Save Acko's RSA number, claim helpline, and your policy number in your phone contacts labeled clearly as "ACKO INSURANCE".
- After any accident — even minor ones with no apparent damage — take photographs before moving the vehicle. Even small scrapes may develop into significant claim events later.
- File an FIR within 24 hours for any incident involving third-party injury, death, or property damage exceeding INR 5,000 — even if you are not at fault.
- Never sign any document at the accident scene without reading it fully. Signing an admission of fault can complicate your TP claim significantly.
- Keep all original repair bills and receipts for at least 3 years after the claim settlement — required if a post-settlement dispute arises.

**Quick Reference — Acko Motor Insurance Emergency Contacts:** Register claim via Acko App (My Policies > File a Claim) | RSA: Number on your Policy Schedule | For TP accidents with injury: Call 108 (ambulance) and 100 (police) first. Then inform Acko within 24 hours.

## CHAPTER 29 — DEPRECIATION DEEP DIVE AND CLAIM CALCULATION GUIDE

Understanding depreciation is the key to avoiding claim settlement surprises. This chapter provides a comprehensive guide to how depreciation affects motor insurance claims.

### 29.1 Why Depreciation Exists in Motor Insurance

Depreciation in motor insurance reflects the principle of indemnity — an insurance policy is designed to restore you to your pre-loss financial position, not to put you in a better position. When a vehicle part is damaged and replaced with a new part, the policyholder benefits from having a new part instead of the used (depreciated) part that was on the car before the accident. Depreciation deduction corrects for this betterment — you only receive the equivalent value of the used part that was lost.

Zero Depreciation Add-on removes this deduction entirely — making it one of the most financially valuable add-ons for new vehicle owners. The add-on essentially pays for the "betterment" amount that would otherwise be deducted from your claim.

### 29.2 Depreciation Rate Schedule — All Materials

| Part Material             | Depreciation on Part Cost           | Common Parts                                                                 | Impact on Claims                         |
|---------------------------|-------------------------------------|------------------------------------------------------------------------------|------------------------------------------|
| Rubber components         | 50%                                 | Tyres, tubes, rubber seals, door rubber strips, wiper blades                 | Major impact on tyre claims              |
| Nylon components          | 50%                                 | Interior trim clips, dashboard fittings, plastic connectors                  | Minor per part, significant overall      |
| Plastic components        | 50%                                 | Bumpers (front and rear), mudguards, body side mouldings, door handle covers | Very significant — bumpers are expensive |
| Fibre glass               | 30%                                 | Body panels on sports variants, spoilers, aftermarket kit panels             | Moderate impact                          |
| Glass (all)               | Nil — no depreciation               | Windshield, door glass, rear window, sunroof                                 | Glass claims paid in full (part cost)    |
| All metal parts           | Nil — no depreciation               | Bonnet, doors, fenders, boot lid, chassis, engine block (metal parts)        | Metal claims paid in full (part cost)    |
| Paint (labour)            | No deduction on labour              | Painting labour charges for affected panels                                  | Fully reimbursed                         |
| Paint (material)          | 50% on total painting material cost | When full body repaint is done                                               | 50% deduction on painting material only  |
| Battery (12V lead-acid)   | 50%                                 | Standard ignition battery                                                    | Deduction on battery cost                |
| Battery (EV high voltage) | Per IRDAI EV schedule               | Lithium-ion battery pack in EVs                                              | Separate EV schedule applies             |
| Engine oil, coolant       | Excluded unless consumables add-on  | All fluid replacements during repair                                         | Not admissible without Consumables Cover |

### 29.3 Calculating Claim Admissibility — Step by Step

1. Surveyor assesses the damage and prepares a detailed estimate listing all damaged parts and repair operations.
2. For each replaced part, identify the material type from the table above.
3. Apply the applicable depreciation rate to the COST of the part (not the labour).

4. Labour charges are always admitted in full — no depreciation on labour.
5. Sum all admissible amounts: (Part Cost – Depreciation) + Labour = Admissible Part Amount.
6. Add all admissible part amounts to get total admissible claim.
7. Deduct Compulsory Deductible (INR 1,000 for cars  $\leq 1,500$  cc; INR 2,000 for cars  $> 1,500$  cc).
8. Deduct Voluntary Deductible (if chosen).
9. Result = Amount Acko pays.
10. With Zero Dep active: Step 3 is skipped — no depreciation on any part. All steps otherwise identical.

## CHAPTER 30 — MOTOR INSURANCE PRODUCT COMPARISON

### 30.1 Acko vs Industry — Key Differentiators

| Feature                  | Acko                                    | Traditional Insurer (General)                    |
|--------------------------|-----------------------------------------|--------------------------------------------------|
| Purchase channel         | 100% online — app / website             | Agent + online; physical forms may be needed     |
| Commission paid to agent | Zero — direct model                     | 15–20% of premium goes to agent                  |
| Policy issuance time     | Instant — seconds after payment         | Minutes to hours; email/physical delivery        |
| Physical document        | Not required — digital is legally valid | Physical policy card / certificate common        |
| Claims registration      | App / website — 24x7                    | Often requires calling agent or insurer helpline |
| AI claims assessment     | For minor claims — 30–60 minutes        | Not widely available; human surveyor for most    |
| Cashless garage network  | 5,500+ garages                          | 3,000–10,000+ (varies by insurer)                |
| Doorstep vehicle pickup  | Available in major metros               | Not universally available                        |
| Customer service channel | App + email + web chat                  | Phone, email, agent                              |
| Premium level            | Typically 15–25% lower (no commission)  | Higher due to distribution costs                 |
| NCB transfer             | Digital NCB certificate — app-generated | Paper certificate; may take longer               |

### 30.2 When to Consider Other Insurers

- **Very remote areas with limited network garages:** If you live in a region with few Acko network garages, a traditional insurer with a larger local network might be more practical for cashless repairs.
- **When you prefer agent relationship:** If you value a local insurance advisor who can hand-hold through claims, a traditional insurer with local agents may suit your needs better.
- **Commercial vehicles:** Acko primarily serves private motor vehicles. For trucks, buses, and commercial vehicles, dedicated commercial vehicle insurers may offer more specialized coverage.
- **Very old or niche vehicles:** Vintage cars, heavily modified vehicles, or specialized agricultural vehicles may need insurers with specific expertise in these segments.

## CHAPTER 31 — MOTOR INSURANCE LEGAL LANDMARK CASES

Understanding key legal precedents helps policyholders know their rights during claims disputes.

### **National Insurance Co. Ltd. v. Swaran Singh (Supreme Court 2004)**

One of the most significant motor insurance judgments. The Supreme Court held that even if the vehicle owner allows an unlicensed driver to drive, and the insurer establishes this breach, the insurer must still pay the Third Party claim and then recover from the vehicle owner. This protects innocent third-party accident victims from being left without compensation due to policy breaches they were unaware of.

### **United India Insurance Co. v. Asha Rani (Supreme Court 2003)**

The Court established that in cases involving gratuitous passengers (passengers travelling for free in a goods vehicle — not permitted legally), the insurer is not liable for TP claims from such passengers. This clarified that TP liability covers only passengers with proper legal authority to travel in the vehicle.

### **Reshma Kumari v. Madan Mohan (Supreme Court 2009)**

Established the structured formula for computing compensation in fatal road accident cases under Section 163-A of the Motor Vehicles Act. The judgment standardized how income loss, dependency, and other factors are calculated in MACT awards — making compensation more predictable and consistent across tribunals.

### **Consumer Case — Delay in Claim Settlement**

The IRDAI Ombudsman has consistently ruled against insurers that delay claim settlement beyond the mandated 30-day period without valid reason. Policyholders are entitled to interest at 2% above the bank rate for each day of unjustified delay. This has made timely claim processing a legal obligation, not just a service standard.

## CHAPTER 32 — MOTOR INSURANCE CHECKLIST — BEFORE BUYING

Use this comprehensive checklist before purchasing or renewing your motor insurance to ensure you make the optimal decision.

| Checklist Item                     | Action Required                                                                             | Status                                       |
|------------------------------------|---------------------------------------------------------------------------------------------|----------------------------------------------|
| Determine correct vehicle IDV      | Check current market resale value (OLX, CarDekho). Set IDV to match.                        | Verify before purchase                       |
| Identify zone (A or B)             | Metro = Zone A (higher premium). Other = Zone B.                                            | Auto-detected by Acko on registration number |
| Check current NCB %                | Request NCB certificate if switching insurers.                                              | Confirm with previous insurer                |
| Decide on coverage type            | Comprehensive (recommended); SAOD if you have separate TP.                                  | Based on vehicle age and value               |
| List required add-ons              | Minimum: Zero Dep (new car) + Engine Prot. (flood city). Add RSA, NCB Protection as needed. | Based on city and risk profile               |
| Choose voluntary deductible        | Higher = lower premium. Can you afford INR 5,000–10,000 at claim time?                      | Financial decision                           |
| Check anti-theft device            | ARAI-approved device = 2.5% OD discount. Install and certify.                               | If not installed, assess value               |
| Compare IDV accuracy across quotes | Ensure all quotes use the same IDV — different IDVs make comparison meaningless.            | Compare apples to apples                     |
| Review previous policy for claims  | Any pending claims on old policy must be disclosed.                                         | Mandatory disclosure                         |
| Confirm policy start date          | No gap between old and new policy — continuous coverage is essential.                       | Set new policy start = old policy end + 1    |
| Download new policy immediately    | Verify on Acko app. Check all details match: registration, IDV, add-ons.                    | Day 1 action                                 |
| Save RSA number                    | Save Acko RSA helpline from Policy Schedule as a phone contact.                             | Day 1 action                                 |